

CIMA 2019 Professional Examinations

Management Level

Subject E2

Managing Performance

EXAM PRACTICE KIT

British Library Cataloguing-in-Publication Data

A catalogue record for this book is available from the British Library.

Published by:

Kaplan Publishing UK
Unit 2 The Business Centre
Molly Millar's Lane
Wokingham
Berkshire
RG41 2QZ

ISBN: 978-1-78740-206-5

© Kaplan Financial Limited, 2019

No part of this publication may be reproduced, stored in a retrieval system or transmitted in any form or by any means electronic, mechanical, photocopying, recording or otherwise without the prior written permission of the publisher.

The text in this material and any others made available by any Kaplan Group company does not amount to advice on a particular matter and should not be taken as such. No reliance should be placed on the content as the basis for any investment or other decision or in connection with any advice given to third parties. Please consult your appropriate professional adviser as necessary. Kaplan Publishing Limited, all other Kaplan group companies, the International Accounting Standards Board, and the IFRS Foundation expressly disclaim all liability to any person in respect of any losses or other claims, whether direct, indirect, incidental, consequential or otherwise arising in relation to the use of such materials. Printed and bound in Great Britain.

CONTENTS

	Page
Index to questions and answers	P.4
Exam techniques	P.5
Syllabus guidance, learning objectives and verbs	P.7
Approach to revision	P.11
Syllabus grids	P.13

Section

1	Objective test questions	1
2	Answers to objective test questions	55

Quality and accuracy are of the utmost importance to us so if you spot an error in any of our products, please send an email to mykaplanreporting@kaplan.com with full details.

Our Quality Co-ordinator will work with our technical team to verify the error and take action to ensure it is corrected in future editions.

INDEX TO QUESTIONS AND ANSWERS

OBJECTIVE TEST QUESTIONS

	<i>Page number</i>	
	<i>Question</i>	<i>Answer</i>
Syllabus section A: Business models and value creation	1	55
Syllabus section B: Managing people performance	21	66
Syllabus section C: Managing projects	40	80

EXAM TECHNIQUES

COMPUTER-BASED ASSESSMENT

Golden rules

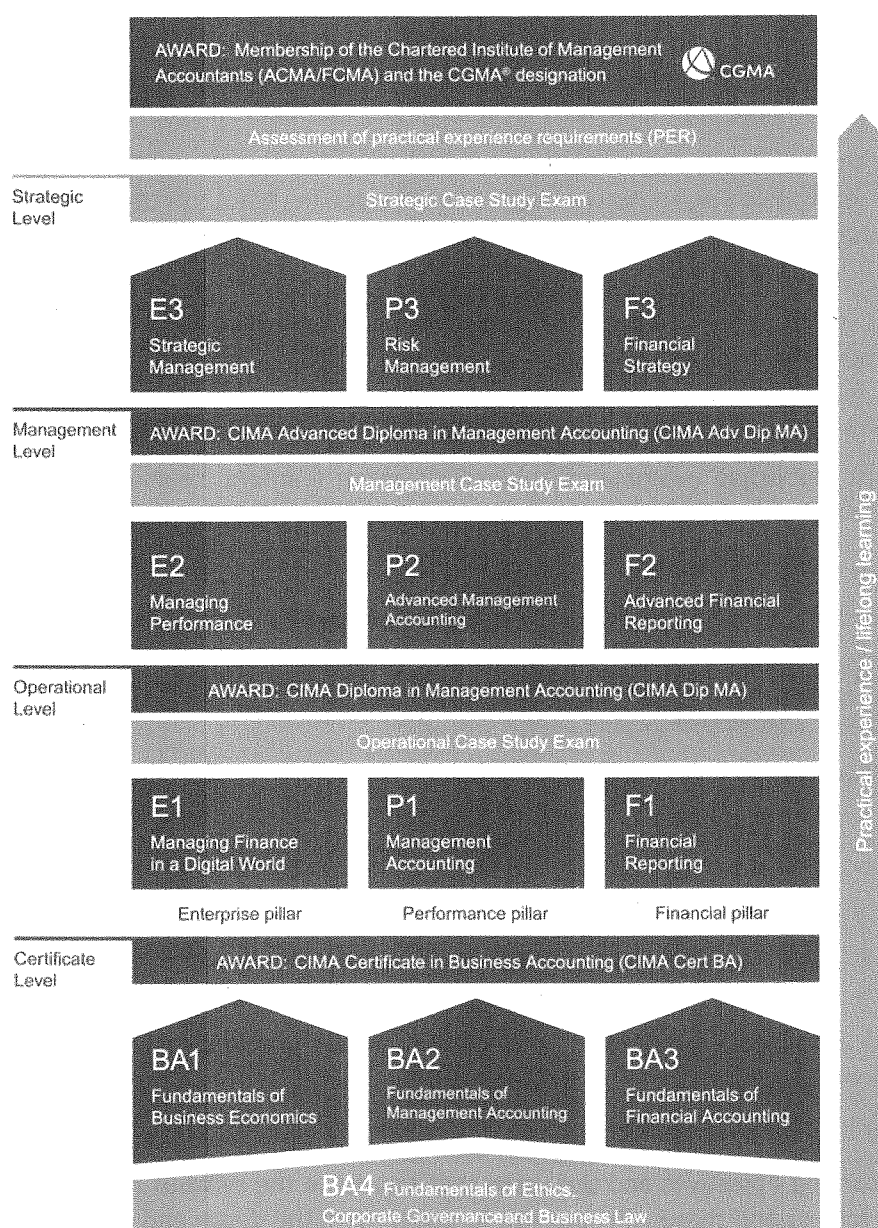
- 1 Make sure you have completed the compulsory 15-minute tutorial before you start the test. This tutorial is available through the CIMA website and focusses on the functionality of the exam. You cannot speak to the invigilator once you have started.
- 2 These exam practice kits give you plenty of exam style questions to practise so make sure you use them to fully prepare.
- 3 Attempt all questions, there is no negative marking.
- 4 Double check your answer before you put in the final answer although you can change your response as many times as you like.
- 5 Not all questions will be multiple choice questions (MCQs) – you may have to fill in missing words or figures.
- 6 Identify the easy questions first and get some points on the board to build up your confidence.
- 7 Attempt 'wordy' questions first as these may be quicker than the computation style questions. This will relieve some of the time pressure you will be under during the exam.
- 8 If you don't know the answer, flag the question and attempt it later. In your final review before the end of the exam try a process of elimination.
- 9 Work out your answer on the whiteboard provided first if it is easier for you. There is also an onscreen 'scratch pad' on which you can make notes. You are not allowed to take pens, pencils, rulers, pencil cases, phones, paper or notes into the testing room.

SYLLABUS GUIDANCE, LEARNING OBJECTIVES AND VERBS

A CIMA 2019 PROFESSIONAL QUALIFICATION

Details regarding the content of the CIMA 2019 professional qualification can be located within the CIMA 2019 professional qualification syllabus document.

You can use the following diagram showing the whole structure of your qualification to help you keep track of your progress. Make sure you carefully review the 2019 CIMA syllabus transition rules and seek appropriate advice if you are unsure about your progression through the qualification.



B STUDY WEIGHTINGS

A percentage weighting is shown against each exam content area in the exam blueprint. This is intended as a guide to the proportion of study time each topic requires.

All component learning outcomes will be tested.

The weightings do not specify the number of marks that will be allocated to topics in the examination.

C LEARNING OUTCOMES

Each subject within the qualification is divided into a number of broad syllabus topics. The topics contain one or more lead learning outcomes, related component learning outcomes and indicative knowledge content.

A learning outcome has two main purposes:

- 1 to define the skill or ability that a well-prepared candidate should be able to exhibit in the examination
- 2 to demonstrate the approach likely to be taken by examiners in examination questions.

The learning outcomes are part of a hierarchy of learning objectives. The verbs used at the beginning of each learning outcome relate to a specific learning objective, e.g. Evaluate alternative approaches to budgeting.

The verb 'evaluate' indicates a high-level learning objective. As learning objectives are hierarchical, it is expected that at this level students will have knowledge of different budgeting systems and methodologies and be able to apply them.

The examination blueprints and representative task statements

CIMA have also published examination blueprints giving learners clear expectations regarding what is expected of them. This can be accessed here www.cimaglobal.com/examblueprints

The blueprint is structured as follows:

- Exam content sections (reflecting the syllabus document)
- Lead and component outcomes (reflecting the syllabus document)
- Representative task statements.

A representative task statement is a plain English description of what a CIMA finance professional should know and be able to do.

The content and skill level determine the language and verbs used in the representative task.

CIMA will test up to the level of the task statement in the objective test (an objective test question on a particular topic could be set at a lower level than the task statement in the blueprint).

The format of the objective test blueprints follows that of the published syllabus for the 2019 CIMA Professional Qualification.

Weightings for content sections are also included in the individual subject blueprints.

A list of the learning objectives and the verbs that appear in the syllabus learning outcomes and examinations follows and these will help you to understand the depth and breadth required for a topic and the skill level the topic relates to.

CIMA verb hierarchy

Skill level	Verbs used	Definition
Level 5 Evaluation How you are expected to use your learning to evaluate, make decisions or recommendations	Advise Assess Evaluate Recommend Review	Counsel, inform or notify Evaluate or estimate the nature, ability or quality of Appraise or assess the value of Propose a course of action Assess and evaluate in order, to change if necessary
Level 4 Analysis How you are expected to analyse the detail of what you have learned	Align Analyse Communicate Compare and contrast Develop Discuss Examine Interpret Monitor Prioritise Produce	Arrange in an orderly way Examine in detail the structure of Share or exchange information Show the similarities and/or differences between Grow and expand a concept Examine in detail by argument Inspect thoroughly Translate into intelligible or familiar terms Observe and check the progress of Place in order of priority or sequence for action Create or bring into existence
Level 3 Application How you are expected to apply your knowledge	Apply Calculate Conduct Demonstrate Prepare Reconcile	Put to practical use Ascertain or reckon mathematically Organise and carry out Prove with certainty or exhibit by practical means Make or get ready for use Make or prove consistent/compatible
Level 2 Comprehension What you are expected to understand	Describe Distinguish Explain Identify Illustrate	Communicate the key features of Highlight the differences between Make clear or intelligible/state the meaning or purpose of Recognise, establish or select after consideration Use an example to describe or explain something
Level 1 Knowledge What you are expected to know	List State Define Outline	Make a list of Express, fully or clearly, the details/facts of Give the exact meaning of Give a summary of

D OBJECTIVE TEST

Objective test

Objective test questions require you to choose or provide a response to a question whose correct answer is predetermined.

The most common types of objective test question you will see are:

- Multiple choice, where you have to choose the correct answer(s) from a list of possible answers. This could either be numbers or text.
- Multiple response, for example, choosing two correct answers from a list of eight possible answers. This could either be numbers or text.
- Fill in the blank, where you fill in your answer within the provided space.
- Drag and drop, for example, matching a technical term with the correct definition.
- Hot spots, where you select an answer by clicking on graphs/diagrams.

Guidance re CIMA on-screen calculator

As part of the CIMA objective test software, candidates are now provided with a calculator. This calculator is on-screen and is available for the duration of the assessment. The calculator is available in each of the objective tests and is accessed by clicking the calculator button in the top left hand corner of the screen at any time during the assessment. Candidates are permitted to utilise personal calculators as long as they are an approved CIMA model. CIMA approved model list is found here: <https://www.cimaglobal.com/Studying/study-and-resources/>.

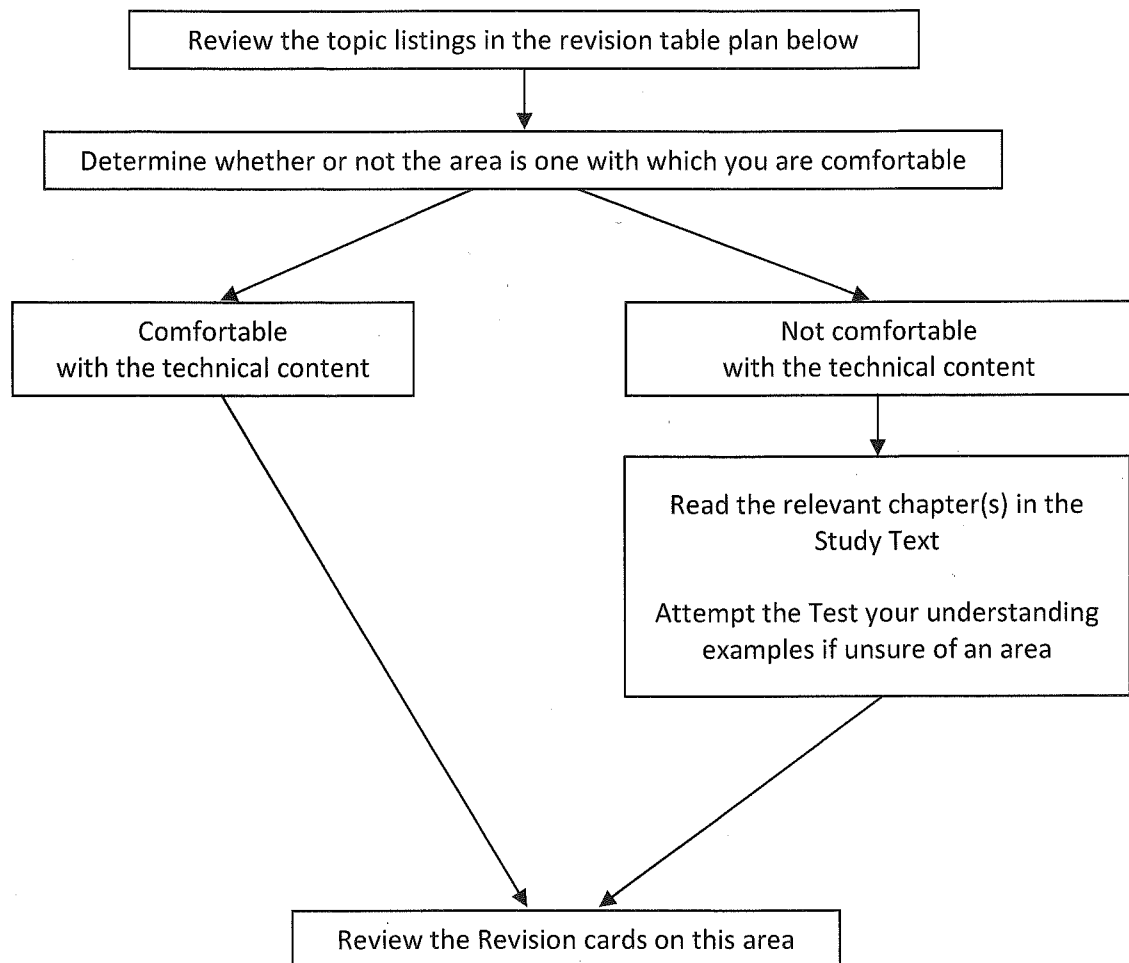
All candidates must complete a 15-minute exam tutorial before the assessment begins and will have the opportunity to familiarise themselves with the calculator and practise using it. The exam tutorial is also available online via the CIMA website. Candidates can use their own calculators providing it is included in CIMA's authorised calculator listing.

Fundamentals of objective tests

The objective tests are 90-minute assessments comprising 60 compulsory questions, with one or more parts. There will be no choice and all questions should be attempted. All elements of a question must be answered correctly for the question to be marked correctly. All questions are equally weighted.

APPROACH TO REVISION

Stage 1: Assess areas of strengths and weaknesses



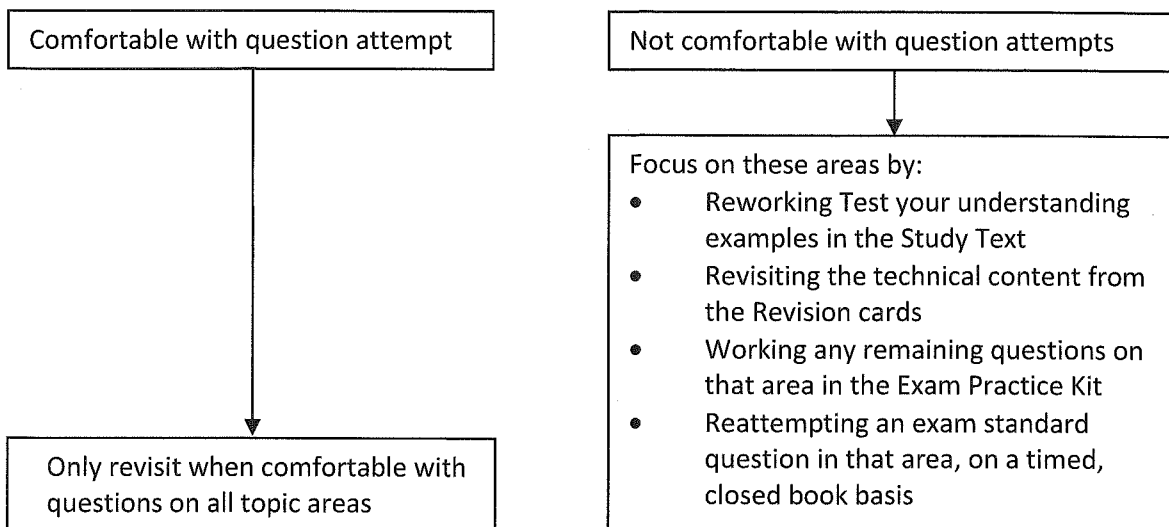
Stage 2: Question practice

Follow the order of revision of topics as recommended in the revision table plan below and attempt the questions in the order suggested.

Try to avoid referring to text books and notes and the model answer until you have completed your attempt.

Try to answer the question in the allotted time.

Review your attempt with the model answer and assess how much of the answer you achieved in the allocated exam time.



Stage 3: Final pre-exam revision

We recommend that you **attempt at least one ninety minute mock examination** containing a set of previously unseen exam standard questions.

It is important that you get a feel for the breadth of coverage of a real exam without advanced knowledge of the topic areas covered – just as you will expect to see on the real exam day.

Ideally a mock examination offered by your tuition provider should be sat in timed, closed book, real exam conditions.

Information concerning formulae and tables will be provided via the CIMA website:
www.cimaglobal.com.

SYLLABUS GRIDS

E2: Managing Performance

Mechanisms to implement decisions and manage people performance

Content weighting

Content area		Weighting
A	Business models and value creation	30%
B	Managing people performance	40%
C	Managing projects	30%
		100%

E2A: Business models and value creation

The digital world is characterised by disruptions to business models by new entrants and incumbents who seek superior performance and competitive advantage. This section covers the fundamentals of business models and how new business and operating models can be developed to improve the performance of organisations.

Lead outcome	Component outcome	Topics to be covered	Explanatory notes
1. Explain the ecosystems of organisations..	Explain: a. Markets and competition b. Society and regulation	• Definition of ecosystems • Participants and roles • Interactions and dynamics • Rules and governance • Technology • Risks and opportunities	What is the nature of the ecosystem? What are its critical elements and how do they interact with each other? How do they impact the organisation?
2. Explain the elements of business models.	Explain the following a. Concept of value and the business model b. Defining value c. Creating value d. Delivering value e. Capturing and sharing value	• Stakeholders and relevant value • Stakeholder analysis • Resources, process, activities and people in creating value • Products, services, customer segments, channels and platforms to deliver value • Distribution of value to key stakeholders	This section covers the concept of value from different stakeholder perspectives. It examines the various elements of the business model, their interaction with each other and their implication for costs and revenue. The section also covers the connectivity and alignment between the ecosystem and the elements of the business model.
3. Analyse new business models in digital ecosystems.	a. Analyse digital business models and their related operating models	• Disruption • Ways to build disruptive and resilient business models • Creating digital operating models • Types of digital operating models	New business models have evolved to disrupt industries and their ecosystems. What are they? How have they redefined their industries?

E2B: Managing people performance

Human capital is one of the key intangible assets of organisations in an age where intangible assets are the dominant means by which organisations create and preserve value. Leadership is a crucial means for managing individual performance and the relationships between people. This section examines how different styles of leadership can be used to improve the performance of individuals so they can achieve organisational goals.

Lead outcome	Component outcome	Topics to be covered	Explanatory notes
1. Compare and contrast different types of leadership and management styles.	Compare and contrast: a. Different leadership concepts b. Types of leadership c. Leadership in different contexts	- Power, authority, delegation and empowerment - Contingent and situational leadership - Transactional and transformational leadership - Leadership of virtual teams - Leadership and ethics	Leadership is key to performance management. In a digital world it is an area that is least susceptible to automation. What constitutes leadership? What are the different types of leadership? How does one choose a style of leadership that is appropriate for the particular context?
2. Analyse individual and team performance.	Analyse the following: a. Employee performance objective setting b. Employee appraisals c. Coaching and mentoring d. Managing workplace environment	- Target setting and employee alignment - Employee empowerment and engagement - Performance reporting and review - Rewards and sanctions in managing performance - Different approaches to coaching and mentoring to improve performance - Diversity and equity practices - Health and safety - Organisational culture	Individual performance is achieved through structured processes and approaches. These include objective setting and regular review of performance against objectives. How should these processes be developed to ensure employee engagement, empowerment and alignment? How should the work environment be configured to enhance performance? What is the role of the leader in coaching and mentoring for high performance?
3. Explain how to manage relationships.	Explain the following in the context of managing relationships: a. Building and leading teams b. Communications c. Negotiations d. Managing conflicts	- Characteristics of high-performing teams - Motivating team members - Communication process - Digital tools for communication - Negotiation process - Strategies for negotiation - Sources and types of conflicts - Strategies for managing conflicts - Leadership and ethics	Individuals work in teams and their performance contributes to the team performance. How should teams be built and led to improve performance? How is collaboration enhanced using technology? How can conflicts be managed?

E2C: Managing projects

Projects have become pervasive means by which organisations execute their strategies. This section shows candidates how to use project management concepts and techniques to implement strategies effectively and efficiently. It is linked to capital investment decision-making that is covered in other areas of the Management Level.

Lead outcome	Component outcome	Topics to be covered	Explanatory notes
1. Describe the concepts and phases of projects.	Describe the following: a. Project objectives b. Key stages of the project life cycle c. Project control	- Overall project objectives - Objectives relating to time, cost and quality - Purpose and activities associated with key stages of the project life cycle	Projects are the primary means by which many organisations implement strategic decisions. It is also how organisations ensure cross-functional collaboration. This section covers the key elements of project management. It seeks to provide both awareness and understanding of the project management process and the ability to apply tools and techniques to participate in projects and to identify, evaluate and manage project risks. The objective is not to train project managers but to equip finance people to work within projects and to lead some parts of projects.
2. Apply tools and techniques to manage projects.	Apply the following to manage projects: a. Project management tools and techniques b. Project risk management tools	- Workstreams - Work breakdown schedule, Gantt charts, network analysis - PERT charts - Sources and types of project risks - Scenario planning - Managing project risks - Project management software	
3. Explain the concepts of project leadership.	Explain a. Project structure b. Roles of key project personnel c. How to manage project stakeholders	- Project structures and their impact on project performance - Role of project manager - Role of key members of project team - Life cycle of project teams - Managing key stakeholders of projects - Leading and motivating project team	

TABLES AND FORMULAE

Information concerning formulae and tables will be provided via the CIMA website, www.cimaglobal.com.

Section 1

OBJECTIVE TEST QUESTIONS

BUSINESS MODELS AND VALUE CREATION

1 Cultural or demographic factors would generally be considered under which heading in the PESTLE framework?

- Political
- Economic
- Social
- Technological
- Legal
- Environmental

2 WXY runs a chain of bars and night clubs within country H. It is considering extending its operations to neighbouring countries. Match up the following macro-economic factors with the heading they would be analysed under in a PESTLE analysis.

Political	Economic	Social	Technological	Legal	Environmental
-----------	----------	--------	---------------	-------	---------------

The age at which people are allowed to drink alcohol
Government tax on sales of alcohol
The level of disposable income people have
People's religious beliefs and attitudes towards alcohol

3 K is a successful entrepreneur. He is considering entering a new market which he considers will generate profits of over \$30,000 per annum. He has discovered that to set up the new business he would have to purchase a machine costing \$18,000, purchase a licence costing \$3,000 and attend an intensive two day training course.

Which of the following situations would Porter's five forces model suggest?

- A The power of the supplier is low
- B Rivalry is high
- C The threat of new entrants is high
- D The power of buyers is low

- 4 PQR manufactures cardboard packaging. It is considering moving into the plastic packaging market. It has established that there are four main plastic packaging manufacturers, who have an aggregate market share of 82%. The current market leader has a share of 26%. The four companies produce products of similar size and quality. The market for plastic packaging has grown by 2% per annum in recent years.

Identify which aspect of Porter's five forces would consider this information and identify if the scenario suggests that the force would be high or low.

New entrant	Low
Power of buyer	High
Power of supplier	
Substitutes	
Rivalry	

The force which would consider this information is _____ and from the scenario, the force would be _____.

- 5 **In Porter's five forces model, which of the following is NOT a barrier to entry?**
- A Economies of scale
 - B Switching costs
 - C Numerous suppliers
 - D Product differentiation
- 6 **Porter's work on industry competition suggests that the strength of market entry depends on the existence of barriers to entry. Identify THREE factors that create barriers to entering an industry.**
- A Economies of scale
 - B Capital requirements
 - C Expanding market
 - D Vertical integration
 - E Many small competitors
- 7 **As part of a Porter's 5 Forces analysis, which of the following would cause rivalry amongst existing competitors to be higher?**
- A Rapid growth in the market
 - B High fixed costs
 - C Relative quality and costs of similar products
 - D High barriers to entry

- 8 XYZ offers accountancy training courses. The market is growing quickly and XYZ's courses are significantly different to those offered by its rivals. Any new company wishing to teach accountancy courses must obtain accreditation by the various accountancy organisations. This process can take several years.

Based on the above information, which of the following statements can be made about XYZ's competitive environment?

- A Competitive rivalry is likely to be low
 - B Supplier power is likely to be low
 - C Barriers to entry are likely to be low
 - D The threat of new entrants is likely to be low
- 9 According to Porter's five forces model, which TWO of the following would tend to indicate there is a low threat of new entrants to the market?
- A Low capital requirements
 - B Patents exist on major product lines
 - C Access to distribution channels is not restricted
 - D Existing companies in the market are large
 - E Rapidly expanding market
- 10 EFG sells motor vehicles in country V. It has recently discovered that the government is planning a major overhaul of the public transport system in country V, which will significantly increase its speed and comfort, while lowering the cost to make it more attractive.
- Under which heading of Porter's five forces model would this issue be included?**
- A Barriers to entry
 - B Power of suppliers
 - C Threat of substitutes
 - D Power of buyers
- 11 According to Porter, there are three generic strategies through which an organisation can gain competitive advantage. What are the three generic strategies?
- A Cost leadership, Differentiation, Focus
 - B Market Penetration, Diversification, Product Development
 - C Internal development, Strategic alliances, Takeovers and mergers
 - D Corporate, Business, Operational

- 12 Which TWO of the following statements relating to Big Data are true?**
- A Big Data refers to any financial data over \$1 billion
 - B Three of the main defining characteristics of Big Data are Velocity, Volume and Variety
 - C Managing Big Data effectively can lead to increased competitive advantage
 - D The term Big Data means 'data that comes from many sources'
 - E Big Data contains mainly non-financial data
- 13 How is the delivery of on-demand computing resources otherwise known?**
- A Artificial Intelligence
 - B The Internet of Things
 - C Big Data
 - D Cloud computing
- 14 Machines working and reacting like human beings describes what?**
- A Robotics
 - B Voice recognition
 - C Artificial intelligence
 - D The 4th Industrial Revolution
- 15 Which THREE of the following statements about a blockchain are true?**
- A Blockchain is regarded as a solution to cyber security risk
 - B Records in the blockchain are publically available
 - C Records in the blockchain are kept private to enhance security
 - D The verification of transactions is carried out by computers
 - E The verification of transaction is carried out by individuals
- 16 The IBM report "The New Age of Ecosystems" suggested that new technologies are changing the nature of business environments and specified three characteristics of such new environments.**
- Which THREE of the following characteristics of ecosystems were specified in the IBM report mentioned?**
- A Complex and loose
 - B Simple and intelligent
 - C Connected and open
 - D Rich and sophisticated
 - E Transparent and orchestrated
 - F Fast and scalable

- 17** Daniel W is a singer and guitarist from Wales who has gained a massive online following after posting his songs on social media. His last song received over five million likes, so Daniel has employed an agent and is now looking to arrange a world tour.

Daniel's agent will to speak to promoters, venues, festival organisers and caterers but, because of his fame, Daniel is able to dictate many aspects of the forthcoming tour. These include insisting all food is vegan, that a barrel of Daniel's favourite beer is shipped out from Wales to each venue and that all vans and taxis used for transfers between airports, hotels and gigs have a red Welsh dragon painted on them.

Examine the above information and identify which of the following components of a network or ecosystem is being described:

- A Role
 - B Reach
 - C Capability
 - D Rules
 - E Connections
 - F Course
- 18** Jessie used to work for a major guitar amplifier manufacturer until he observed a trend in the music industry away from traditional amplifiers towards digital modelling systems. Fearing his long-term job future was in doubt, he decided to set up his own business. However, instead of embracing the new digital technologies, Jessie decided that there was still a market for completely individual, bespoke, traditional guitar amplifiers – effectively a market segment of one. Jessie's customers – mainly professional musicians and lawyers – can specify every aspect of their amplifier from the wood, the type of pre-amp and power-amp circuits used, the speaker choice and even whether they want "new old stock" valves made in the 1960s to be used as components.

Jessie's business model depends on being able to pass the specification for each order to his network of suppliers via 'the cloud', so suppliers can respond immediately to source, modify or make components to order and send them to Jessie within 48 hours. As a result, Jessie can assemble, test and deliver the unique amp within a week of receiving the order.

Which of the following components of an ecosystem is being described as central to Jessie's business model?

- A Role
- B Reach
- C Capability
- D Rules
- E Connections
- F Course

19 Which of the following statements about the differences between traditional markets and current thinking concerning ecosystems is/are true?

- (i) Both traditional markets and ecosystems assume that entities act out of individual self-interest.
 - (ii) Ecosystems create more value, as a whole, than the sum of individual participants acting independently in a traditional market.
- A Statement (i) only
 - B Statement (ii) only
 - C Neither of them
 - D Both of them

20 Wimber and Co are a specialist deep-sea oil-drilling company with an unparalleled reputation for successful drilling in locations that are high risk, whether due to strong currents, geothermal activity or other geological complications.

The oil drilling industry is tightly regulated, with the need to acquire permits from governments and to abide by a wide range of environmental and safety legislation.

Which ecosystem archetype is being described here?

- A Hornet's nest
- B Lion's pride
- C Shark tank
- D Wolf pack

21 In the future, every home, building, facility or appliance may be both a consumer and producer of energy. Homes, for example, will likely sell into the grid during off times, such as daytimes when typically no one is at home, but solar panels are active. During peak demand times, homes may be a net consumer of energy. The presence of a strong regulator will ensure that energy flows are measured, reserve energy is stored and networks remain in good working order.

Based on the ecosystem archetype being described here, what is the likely strategy of participants in the energy industry?

- A Flying with hornets
- B Roaring with lions
- C Jumping with sharks
- D Dancing with wolves

- 22** Jay is in the process of buying a briefcase, as he has a new job and wishes to appear professional on his first day at work. He has searched a number of different retailers' websites, and has noticed that the same model of briefcase (from a manufacturer called 'Casewise') appears on most of them.

Identify which of the following strategies to react to the evolution of customer demands is being pursued by Casewise.

- A Brand atomization
- B Design thinking
- C Experiential pilots
- D Prototyping

- 23** Drivers.com is a website dedicated to obtaining trusted and independent reviews of new car models. The organisation behind the website takes great care to ensure that reviews are only posted by people who have actually purchased and/or driven the car model they are reviewing. Any reviews that do not meet strict criteria are removed during the moderation process, and never posted to the website.

According to the World Economic Forum/Accenture analysis, there are a number of factors that drive customer demands in the digital era. Examine the above statement and select which of the following 'drivers of customer demands in the digital era' is being described.

- A Contextualised interactions
- B Transparency
- C Peer review
- D Seamless experience

- 24** David Ng is a governor at a secondary school and has recently attended a meeting with headmasters, local government officials, the Member of Parliament for education and representatives of an economic 'think tank'. The discussion centred on delivering value for money in schools and included a discussion of key stakeholders (pupils, parents, teachers, etc.) and their objectives.

Which aspect of defining, creating, delivering and capturing value is being described here?

- A Define value
- B Create value
- C Deliver value
- D Capture residual value

- 25 According to Mendelow, the significance of each stakeholder group in an organisation depends on two factors: the power of the stakeholder and the level of interest of the stakeholder.

		Interest	
		Low	High
Power	Low	I	II
	High	III	IV

What approach is recommended for dealing with stakeholders in quadrant III of the above matrix?

- A Develop strategies that are fully acceptable to the stakeholder
 B Keep the stakeholder satisfied
 C Keep the stakeholder informed
 D Minimum effort
- 26 ABC is considering introducing greater use of robotics and AI within production, which would involve making 200 of its 3,000 employees redundant. Only around 2% of ABC's workers are members of a union. Select the most appropriate management strategy for the employees and place it in the correct area of the Mendelow matrix.

		low	interest	high
power	low			Keep informed
	high			Keep satisfied
	low			Key players
	high			Minimal effort

- 27 According to Mendelow, which of the following strategies should be used to deal with stakeholders who have low power but high interest?
- A keep informed
 B minimal effort
 C keep satisfied
 D key player

- 28** The directors of Tiptopshop, a high street retailer, have just had an emergency board meeting. The company has been facing tough trading conditions, due mainly to the growth of online shopping, and has had severe cash flow problems over the last 6 months. As a result of this, payments have not been made to key suppliers, nor into the firm's pension scheme. Furthermore, it looks unlikely that a forthcoming dividend payment will be met. On top of this, a key supplier has served notice that they intend to start a winding-up order against the company for failing to pay its debts.

Using the urgency/power/legitimacy model identify which stakeholder the directors should prioritise?

- A Shareholders
- B Current employees
- C Retired employees
- D Key suppliers

- 29** In the CIMA business model the concept of capturing value is linked to three key issues – the cost model, the revenue model and the distribution of surplus (or sharing residual value).

Which of the following statements about these issues is/are true?

- (i) The cost model is effectively a variation of standard costing, so only budgeted costs are considered.
 - (ii) Key decision-making bases for sharing residual value are: tax strategy, dividend policy, desired capital structure and investment opportunities.
- A Statement (i) only
 - B Statement (ii) only
 - C Neither of them
 - D Both of them

- 30** Customer segments can be based on geography, demography, lifestyle, behaviour and purchase journey. Segments must be meaningful, mutually exclusive, measurable (with quantified market share), substantial, stable and easy to understand.

Which TWO of the following are not characteristics of customers within highly desirable segments?

- A Frequent shoppers
- B Are happy to try new items and typically return a high proportion of goods bought
- C Rarely leave product reviews
- D Use social media to tell friends about their purchases
- E Regularly respond to special offers and promotions

- 31** Customer segments can be based on geography, demography, lifestyle, behaviour and purchase journey.

Which THREE of the following are demographic approaches to segmentation?

- A Gender
- B Where customers live
- C Income
- D Social values
- E Marital status

- 32** Customers might start the buying process based on the recommendation of a friend, online product research, or an email or text message offer. They might then touch and feel the product in a retail store but ultimately buy it from the comfort of their home via a tablet or other device late at night.

Which characteristic of delivering value is being described in the above statement?

- A Segments must be meaningful, measurable and substantial
- B Revenue needs to be converted into cash as quickly as possible
- C Channels must be simple and transparent
- D Channels must be integrated, turning shopping into a seamless experience

- 33** In the CIMA business model the concept of capturing value is linked to three key issues – the cost model, the revenue model and the distribution of surplus (or sharing residual value).

Which TWO of the following are key factors when establishing cost architecture within the cost model?

- A Efficiency of the processes
- B Investment opportunities
- C Levels of activity
- D Collection policy (terms of trade)

- 34** Which TWO of the following statements concerning value are true?

- A Value is just another word for profit
- B Companies should only focus on the tangible aspects of value
- C Value involves both short and long term aspects
- D Creating value is just about increasing shareholder wealth
- E Value is ultimately about people

- 35** A value proposition is defined as 'a reason given by a seller for buying their particular product or service, based on the value it offers customers'.

Which of the following statements about value propositions is/are true?

- (i) In the 'define/create/deliver/capture' value cycle, formulating a value proposition is part of the 'deliver' phase.
- (ii) When creating value five key elements must connect and align to create value at an appropriate cost. These are partners, resources, processes, activities and outputs, where 'outputs' are products, services and experience, which aim to meet the customer value proposition.

- A Statement (i) only
- B Statement (ii) only
- C Neither of them
- D Both of them

- 36** YourFuture is a web-based project that aims to help schools and teachers improve the quality of career guidance provision with the use of digital tools. Key elements include guidelines for teachers, a web portal for career guidance for students, a quality framework for careers guidance, a web map device that can show geographic information on job opportunities and internships, a career guidance app for students that enables them to access the portal from their mobile devices and an e-learning platform for teachers.

Match the following attributes of YourFuture with the five key elements of creating value within an ecosystem.

Element	YourFuture
Partners	YourFuture has designed a system where potential employers can populate information directly into the web portal.
Resources	The e-learning platform for teachers.
Processes	YourFuture uses its relationships with various employers to source the information needed for the web portal.
Activities	YourFuture's ecosystem includes university departments, local authorities, map providers and businesses.
Outputs	Yourfuture uses a workflow system to allocate tasks and for operational reporting.

- 37** Firms can use a wide range of 'digital strategies' in order to overcome digital disruption and build disruptive and resilient business models.

Drag and drop the following examples of digital strategies to align it with the correct category.

Category	Strategy
Cryptocurrency	SwitchITon provides customers with a device and app that interconnect all of their domestic appliances and allow them to be controlled remotely.
Platform	Car manufacturers that are members of DriveIT are sharing data collected from car operating systems with one-another, to improve the ways that all their vehicles operate and promote the sale of car-related products and services.
Fintech	Buyers of gaming supplies (headsets, controllers, chairs etc.) from a range of retail websites can pay for those supplies using 'Creds', earned by winning online multi-player games.
IoT (Internet of Things)	PlaceIT is a portfolio management platform – taking business away from typically person-to-person advisers. Subscribers can use a smartphone app to get advice and manage their investment portfolio.

- 38** ChargeBest provides advice on travelling by hybrid and electric vehicles through a downloadable smartphone app. Users are able to input details of their vehicle and journey, and the app helps them to plan the route and their re-charging stops according to the user's vehicle, preferences and favourite coffee shops.

The consultancy group Accenture wrote a report in 2015 called Accenture Technology Vision, which highlighted five emerging trends that were shaping the digital landscape for organisations and which business leaders should focus on in developing digital strategies.

Examine the above description, and identify which of the trends identified by Accenture is being demonstrated by ChargeBest.

- A Workforce reimagined
- B The intelligent enterprise
- C The Internet of Me
- D The platform (r)evolution

- 39** ChargeBest provides advice on travelling by hybrid and electric vehicles. Users of ChargeBest's system are able to plan their route and their re-charging stops. In order to do this, ChargeBest gathers data from a number of partner organisations, including a digital mapping company, recharging equipment suppliers, and traffic information providers. This is updated, during the journey, by gathering GPS location data from the customer's smartphone.

The consultancy group Accenture wrote a report in 2015 called Accenture Technology Vision, which highlighted five emerging trends that were shaping the digital landscape for organisations and which business leaders should focus on in developing digital strategies.

Examine the above description, and identify which of the trends identified by Accenture is being demonstrated by ChargeBest.

- A The outcome economy
 - B The intelligent enterprise
 - C The Internet of Me
 - D The platform (r)evolution
- 40** In order for an organisation to properly take advantage of a move to digital, or to survive digital disruption within its industry, the executive leadership team will need to demonstrate eight key abilities. Some of those abilities focus on internal processes, while others are driven by the external business environment.

Identify which SIX of the leadership team abilities focus on internal processes.

- A Inspirational leadership
- B Competitive edge
- C Establishing a strategic direction
- D Influence external parties
- E Collaboration
- F Business judgement
- G Execution
- H Building talent

- 41 Hannah is Non-Executive Chair of Balmer, a major provider of business broadband services. At a recent Board meeting of Balmer, Hannah urged the Board to shorten the company's planning horizon and to adopt a much more 'emergent' approach, in order to respond to increased rivalry and the rapid pace of technological change in Balmer's industry.

In order for an organisation to properly take advantage of a move to digital, or to survive digital disruption within its industry, the executive leadership team will need to demonstrate a number of abilities.

Examine the description above, and identify which of those abilities is being demonstrated by Hannah.

- A Establishing a strategic direction
 - B Business judgement
 - C Competitive edge
 - D Inspirational leadership
- 42 Cate is a Non-Executive Director of King Tubby, and Chair of its Risk Committee. The Committee is currently examining a major proposed investment in 'cloud and mobile' technologies.

Cate has expressed the view that the cost of capital used in the investment appraisal is too high and, as a result, the project appears to add little shareholder value. Lori, the CFO of King Tubby, has advised that the cost of capital is high because King Tubby's bank has offered new debt finance (which is required for the project) at a much higher interest rate than previously.

Cate has offered to speak to the Lending Manager at King Tubby's bank, to persuade him of the strategic benefits of the cloud and mobile technologies. She hopes to persuade him to reduce the interest rate he has offered.

In order for an organisation to properly take advantage of a move to digital, or to survive digital disruption within its industry, the executive leadership team will need to demonstrate a number of abilities.

Examine the description above, and identify which of those abilities is being demonstrated by Cate.

- A Inspirational leadership
- B Business judgement
- C Influence external parties
- D Collaboration

- 43** Moss is a newspaper and magazine publisher. In 2000, all of Moss's publications were on paper. Over the subsequent 20 years, Moss changed its organisation structure, gathered all its digital talent together in one 'corporate lab', closed or sold nearly half of its titles, and migrated the rest (plus five new titles) onto digital platforms.

Research at the World Economic Forum on "Digital Transformation of Industries" suggests that companies need to adopt one of (or a combination of) build, buy, partner, invest and incubate/accelerate if they wish to identify, develop and launch new business ventures.

Identify which of these is being pursued by Moss.

- A Buy
- B Build
- C Invest
- D Partner

- 44** Charlie's is a successful chain of burger restaurants. It was formed in 1968 and, for forty years followed the conventional strategy of reinvesting profits into organic growth and franchising. By 2010, Charlie's was one of the largest fast food chains in its home country and was considering its international growth options. In order to mitigate the risks of global expansion, Charlie's decided to enter into a strategic alliance with HomeServe, a global Internet-based food delivery platform. Knowing that it is possible to open a new restaurant and immediately serve customers who choose not to visit in person has so far allowed Charlie's to expand its network to over one thousand restaurants in eight countries.

Research at the World Economic Forum on "Digital Transformation of Industries" suggests that companies need to adopt one of (or a combination of) build, buy, partner, invest and incubate/accelerate if they wish to identify, develop and launch new business ventures.

Identify which of these is currently being pursued by Charlie's.

- A Partner
- B Incubate/accelerate
- C Invest
- D Buy

- 45** Sandy Mann retired at the age of 32 after a very successful career in football. He had been a star player for one of the leading teams in his league and had played nearly forty times for his country. Having made several million dollars, he had to decide whether he wished to enjoy his wealth and fade from the public's view, or begin a second career. Sandy decided on the latter, and formed an equity investment trust with a friend, Mutt, who advised wealthy sports stars how to invest their wealth. Together, the two began to acquire controlling stakes in small sports-related start-up businesses. Their investments helped these businesses to grow and, though not all of the investments paid off, Sandy and Mutt now own significant stakes in over two hundred successful businesses despite not taking a management role in any of them. Most of these businesses use new technologies to deliver innovative and valuable packages of products and services to sports fans.

Research at the World Economic Forum on "Digital Transformation of Industries" suggests that companies need to adopt one of (or a combination of) build, buy, partner, invest and incubate/accelerate if they wish to identify, develop and launch new business ventures.

Identify which of these is being pursued by Sandy and Mutt.

- A Partner
 - B Build
 - C Incubate/accelerate
 - D Invest
- 46** Ciao Bella is a major couture fashion brand. It was formed in 2007 by Bella McFarlane, a former model. Rather than design and manufacture its own garments, Ciao Bella has developed close relationships with many small fashion design companies and manufacturers. These small organisations were often start-up businesses, and sometimes just talented individuals. All the garments produced carry the Ciao Bella brand, together with the name of the designer and/or manufacturer. Ciao Bella garments are retailed online, and through major fashion retail chains. When a suitable partner organisation or individual has been identified, Ciao Bella provides development finance in return for shares, or provides loan capital. As part of the deal, Ciao Bella provides industry knowledge and access to technologies and logistics systems. More than three hundred organisations are now part of the Ciao Bella network.

Research at the World Economic Forum on "Digital Transformation of Industries" suggests that companies need to adopt one of (or a combination of) build, buy, partner, invest and incubate/accelerate if they wish to identify, develop and launch new business ventures.

Identify which of these is being pursued by Ciao Bella.

- A Partner
- B Incubate/accelerate
- C Build
- D Invest

- 47** The World Economic Forum project on the Digital Transformation of Industries (DTI) identified five successful digital operating models. They replace rigid approaches to technology, data and processes with flexibility, while also encouraging a culture that is open to innovation and interaction with customers and partners.

Identify which THREE of the following are among the five DTI models.

- A Cost leadership
- B Data-powered
- C Market development
- D Skynet
- E Open and liquid

- 48** Knife is an online 'peer-to-peer' retail platform for second-hand (used) books, toys and collectables. It links sellers with buyers and takes a small sales commission. Using sophisticated analytics and artificial intelligence applications, Knife is able to identify which of the books offered for sale is likely to appeal to which of its customers. Knife's sales application is therefore able to 'push' that book to the customers who are most likely to be interested in purchasing. Knife has very few permanent staff, but they are actively encouraged to innovate and to try out crazy ideas. As a result, Knife's offering is continually evolving.

The World Economic Forum project on the Digital Transformation of Industries (DTI) identified five successful digital operating models.

Examine the above description, and identify which of the DTI operating models is being used by Knife.

- A Data-powered
- B Extra-frugal
- C Skynet
- D Customer-centric

- 49** Orbital is a leading developer and producer of driverless vehicles. Since its foundation, in 2016, Orbital has developed three car models, two small delivery vans, a large lorry and an urban tram. Orbital was founded by three engineers and has a very strong culture of engineering excellence. Orbital has partnered with Sinkane, a manufacturer of industrial robots, to develop radically-different ways of automating vehicle production. In return, Sinkane has agreed not to sell those robotic production technologies to other vehicle manufacturers for at least five years.

The World Economic Forum project on the Digital Transformation of Industries (DTI) identified five successful digital operating models.

Examine the above description, and identify which of the DTI operating models is being used by Orbital.

- A Data-powered
- B Extra-frugal
- C Skynet
- D Customer-centric

- 50** The World Economic Forum on the Digital Transformation of Industries identified five successful digital operating models. They replace rigid approaches to technology, data and processes with flexibility, while also encouraging a culture that is open to innovation and interaction with customers and partners.

Drag and drop the following descriptions to align each with the appropriate operating model.

Operating model	Description
Customer-centric	This model looks outward with a view to creating an ecosystem that can enrich the customer proposition. Built around a sharing customer, all processes are characterized by a constant flow of dialog with the outside world.
Extra-frugal	This model is built around prowess in analytics and software intelligence. Data-powered companies have an agile culture focused on innovation through empirical experimentation.
Data-powered	This model focuses on making customers' lives easier and emphasizes front-office processes. It works best with a culture that puts the client first and a decentralized structure that empowers frontline staff.
Skynet	This model makes intensive use of machines to increase productivity and flexibility in production. Skynet organizations are characterized by an engineer-led culture dedicated to automation.
Open and liquid	This model thrives on a culture of 'less is more' and a standardized organizational structure. By optimizing manufacturing, supply and support processes, it can provide a high-quality service at a low cost.

- 51** Lizzo has established a 'new employee referral programme', where existing employees are rewarded for proposing a friend or contact for a role at Lizzo. In this way, Lizzo spends very little on recruitment, while widening its pool of skilled staff, and existing employees receive a substantial bonus when their referral is hired.

The World Economic Forum Digital Transformation of Industries project (DTI) proposed a 7-step process to build a 'digital workforce'.

Examine the above description and identify which of the steps proposed by the DTI is being described.

- A Integrate your on-demand workforce
- B Bring leadership into the digital age
- C Attract and retain talent
- D Foster a digital culture in the enterprise

- 52 Khruangbin is a traditional high-street furniture retailer. As part of its 'going digital' strategy, Khruangbin has just created the post of 'Digital Visionary' on its Board and recruited a senior manager from a social media company to fill the vacancy.

The World Economic Forum Digital Transformation of Industries project (DTI) proposed a 7-step process to build a 'digital workforce'.

Examine the above description and identify which of the steps proposed by the DTI is being described.

- A Become an employer of choice for millennials
- B Create a workforce with digital skills
- C Foster a digital culture in the enterprise
- D Attract and retain talent

- 53 Liquid PLC is looking at various options to implement its new 'Digital Vision'. One of the options, which Liquid has chosen, is to create a business incubator to allow staff to develop new technological ideas into viable internal processes or commercial propositions.

The World Economic Forum Digital Transformation of Industries project (DTI) proposed a 7-step process to build a 'digital workforce'.

Examine the above description and identify which of the steps proposed by the DTI is being described.

- A Become an employer of choice for millennials
- B Attract and retain talent
- C Bring leadership into the digital age
- D Foster a digital culture in the enterprise

- 54 "We run Apple like a start-up. We always let ideas win arguments, not hierarchies. Otherwise, your best employees won't stay. Collaboration, discipline and trust are vital". (Steve Jobs)

Which of the following statements about bringing leadership to the digital age is/are true?

- (i) Firms need to develop a culture that is more risk-tolerant and accepts failure.
 - (ii) Firms need to use more short-term goals and targets in order to keep control of the business.
- A Statement (i) only
 - B Statement (ii) only
 - C Neither of them
 - D Both of them

- 55** Charlton Inc is a major manufacturer of ground-source heat-pumps. These devices allow users to extract geothermal energy from the earth, and to use that energy to heat their premises. In order to develop new products and services, Charlton has already developed mutually-beneficial relationships with its supply chain and key customers.

Charlton Inc is currently analysing its business environment, and has realised that there might be competitive advantage to be gained by treating its environment as an 'ecosystem'. This is not something that has ever been done in Charlton's industry.

Align each of the following 'competitive forces' to match the likely effect of Charlton's new approach. You may use each effect more than once.

Force	Effect
Bargaining power of suppliers	Increase
Bargaining power of customers	Decrease
Competitive rivalry	Remain stable
Threat of new entrants	

- 56** Geronimo is a consumer electronics manufacturer. It produces hardware communications devices (tablets, laptops, PCs and phones) and also supplies a range of software to operate on those devices (operating systems, tools and apps).

Geronimo has developed a close working relationship, for mutual benefit, with a network of other organisations and individuals. These include software developers, suppliers, retailers and consumers. As a result of these arrangements, Geronimo and its partners create and capture value added, which is shared between the partners.

Identify which of the following approaches is being taken by Geronimo.

- A Franchising
 - B Ecosystem development
 - C Upstream supply chain management
 - D Customer relationship management
- 57** The Competition and Markets Regulator (CMR) of Newlandia is tasked with regulating the activities of firms within that country. The regulators are finding it increasingly difficult to regulate the activities of organisations who choose to participate in a 'business ecosystem'.

Identify which THREE of the following are major challenges to the CMR as a result of firms taking an ecosystem approach.

- A New legislation is expensive to develop
- B Speed of change
- C Data protection is a major issue
- D Ecosystems evolve
- E Innovations cross lines of jurisdiction

- 58 Which three of the following are consequences of the developments in mobile technologies?**
- A The decline of the newspaper industry
 - B The decline of social media interactions
 - C The decline in the banking industry
 - D An increase in the on demand nature of music
 - E An increase in the cost to manufacture smart devices
- 59 Trustedtraders is a new business comprising a franchised network of trades people such as plumbers, electricians, builders and carpenters. Each franchisee has an app that enables them to log and record the expenses they incur as well as scanning all receipts for materials purchased.**
- What type of technology are they making use of?**
- A Social media
 - B Internet of things
 - C An intranet
 - D Mobile technology
- 60 Images, audio files and animations are all examples of what?**
- A Technology
 - B Big data
 - C Information
 - D Digital assets

MANAGING PEOPLE PERFORMANCE

- 61 The McKinsey 7S Model has three hard and four soft Ss. Which of the following are the four soft ones?**
- A Systems, staff, skills and style
 - B Skills, style, structure and systems
 - C Staff, skills, strategy and shared values
 - D Staff, skills, style and shared values

- 62 With reference to Johnson and Scholes' cultural web framework, match the correct definitions to the element.**

The daily behaviours and actions of people that signal acceptable behaviour	The paradigm
Who makes the decisions	Rituals and routines
What the organisation is about	Stories and myths
The past events and people talked about inside and outside the company	Power structures

- 63 According to Handy, the cultural type which is typified by teamwork, flexibility and commitment is known as what?**

- A Power culture
- B Role culture
- C Task culture
- D Person culture

- 64 Four members of staff in a department came back to work an hour late from lunch:**

Employee 1 has had 2 written warnings about lateness.

Employee 2 has just started work with the company a few days ago.

Employee 3 has already had an informal chat regarding this issue.

Employee 4 has recently returned from a period of suspension for excessive lateness.

What would be the most appropriate next stage of action for each of these employees as part of a disciplinary process?

An oral warning
Dismissal
An informal talk
Disciplinary layoff or suspension

- 65 Here are four short descriptions of leadership and management theories:**

There is one best way to undertake every task.

Interpersonal relations are a key part of determining workplace behaviour.

Managers must control the needs of the task, individual and group.

Managers can be either a psychologically distant or psychologically close.

Match the descriptions above to the correct theory from the following list.

- Adair's action-centred leadership
- Human relations school
- McGregor's Theory X and Theory Y
- Fiedler's contingency theory
- Taylor's scientific management
- Blake and Mouton's managerial grid

66 In Drucker's Management by Objectives model, he suggests that organisations require multiple objectives. Which of the following are THREE of Drucker's key objectives?

- A Innovation
- B Public responsibility
- C Employee satisfaction
- D Sales revenue
- E Productivity
- F Market share

67 Which of the following is NOT an advantage of an effective performance appraisal system?

- A Improves communication between managers and subordinates
- B Helps identify training needs
- C Ensures performance targets are met
- D Provides a fair process for reward decisions

68 Hofstede developed an influential model of the dimensions on which national cultures differ.

In the Hofstede model, a national culture which is uncomfortable with risk and ambiguity and which would feel threatened by unusual situations would be classified as:

- A individualist
- B masculine
- C low power distance
- D high uncertainty avoidance

69 Handy listed four distinct cultural types:

Power	Role	Task	Person
-------	------	------	--------

Match the following statements to the cultural type it relates to.

- A large bureaucratic organisation such as a Government department would likely have this type of culture.
- With this type of culture, everything is based on a logical order and rationality.
- An organisation which is based on the technical expertise of the individual employees would tend to have this type of culture.
- This type of culture would tend to be found in small, owner-run organisations.

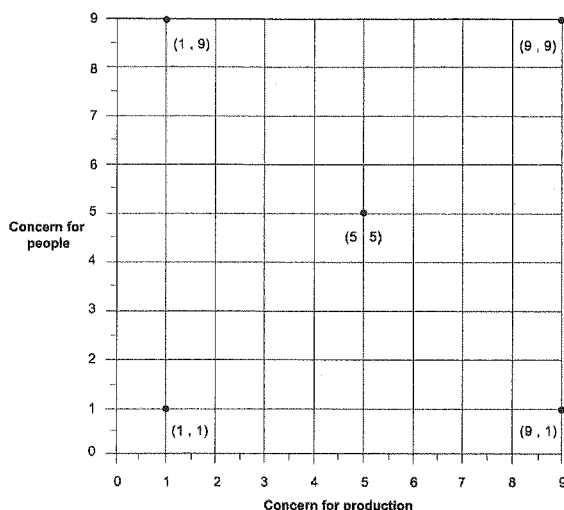
70 Intrinsic satisfaction is said to be derived from which of the following issues?

- A Perks of the job
- B Job content
- C Job rewards
- D Group cohesiveness and belonging

71 What type of power is a manager using when they promote a member of staff on merit?

- A Referent
- B Expert
- C Coercive
- D Reward

72 In the Blake and Mouton managerial grid, shown below, match the styles to the correct place on the grid.



Task orientated

Country-club

Impoverished

Team style

Middle road

73 According to Herzberg's motivation theory, factors can be hygiene factors or motivators. Match the following as to whether they relate to hygiene factors or motivators.

- These help to avoid unpleasantness and dissatisfaction
- Good working conditions
- An appropriate level of salary
- Career advancement
- These satisfy the need for personal growth

74 The final stage in disciplinary action is dismissal. Prior to this stage, a number of other stages should be followed.

- 1 Oral warning
- 2 Informal talk
- 3 Suspension
- 4 Final written warning
- 5 First written warning

List the numbers in the order in which the stages would occur in a disciplinary procedure.

- A 2, 1, 3, 5, 4
- B 1, 5, 2, 4, 3
- C 2, 1, 5, 4, 3
- D 2, 1, 3, 4, 5

75 Which TWO of the following statements are considered to be advantages of a good grievance procedure?

- A It ensures the legal obligations of the employer are met
- B It improves employee morale and trust
- C It ensures all employees will follow instructions
- D It reduces the number of customer complaints about staff
- E It improves productivity

76 Adair's action-centred leadership model suggests that effective leadership depends on balancing the priority given to three inter-related sets of needs – task, individual and group. Match the following roles to whether they are a task, individual maintenance or group maintenance roles.

Task	Individual maintenance	Group maintenance
------	------------------------	-------------------

- Opinion-seeking
- Feedback
- Peace keeping
- Communicating
- Decision making
- Counselling

77 Within the organisational iceberg, some items are defined as visible and others as hidden. Which of the following would be defined as visible elements? Select all that apply.

- A Attitudes
- B Goals
- C Style
- D Values
- E Skills
- F Technology

78 The following assumptions underlie a well-known theory of motivation.

The expenditure of physical and mental effort at work is as natural as play or rest.

If a job is satisfying, then the result will be commitment to the organisation.

These assumptions apply to which of the following models?

- A Maslow's hierarchy of needs
- B McGregor's Theory X
- C McGregor's Theory Y
- D Herzberg's motivation theory

79 Which approach to control is likely to be found in small owner-managed organisations where there is centralised decision-making by the owner?

- A Personal centralised control
- B Output control
- C Clan or Cultural control
- D Bureaucratic control

80 Which of the following statements relating to Health and Safety in the workplace is NOT true?

- A Managing health and safety in the workplace is a legal requirement
- B Health and safety controls can save companies money
- C Managing health and safety is solely the responsibility of directors
- D Provision of training for employees is part of health and safety requirements

81 Equal opportunities and diversity in the workplace are often confused. Match the following to whether they relate to diversity or equal opportunities?

- Its purpose is to remove discrimination
- It relies on proactive action
- It is a Human Resources role
- It is a managerial role

82 In country A, most businesses are highly bureaucratic with many defined rules for employees. However, even junior staff members are usually involved in the creation of these rules, as they expect to have a say in the running of the business.

Consider the following cultural positions from Hofstede's model of national cultures.

- A High uncertainty avoidance
- B Masculinity
- C Low power distance
- D Individualism
- E Long term orientation

Which TWO of the cultural positions identified above are shown to exist in country A?

83 H is a new employee at JHI. O, a long-serving employee, has been asked to offer H any practical advice and support that he needs and act as a role model for H.

O would therefore be classified as H's:

- A Coach
- B Mentor
- C Counsellor
- D Partner

84 Which of the following statements regarding authority and responsibility are true? Select all that apply.

- A Authority is the right to exercise power.
- B Traditional authority is based on Weber's classical bureaucracy.
- C Responsibility is the capacity to exert influence.
- D When delegating, responsibility can never be delegated.
- E Responsibility means the right to hold subordinates accountable for their performance and achievements.

85 The finance director of CDE, a UK company, is summarily dismissed without notice. His contract of employment gives an entitlement to one year's notice of termination of employment. Under UK law, the director could bring an action for _____ or _____ dismissal.

Which of the following words most accurately fill the gaps?

Redundancy	Termination	Wrongful	Negligence	Unfair
------------	-------------	----------	------------	--------

86 ABC, a previously nationalised industry in S Country has recently become privatised as part of a government initiative to encourage competition and innovation. When nationalised, the company held a near monopolistic position but it now faces strong competition from several companies, both from S Country and from other countries.

ABC is finding it very difficult to adapt and they are falling behind competitors in terms of innovation and product development. Departments in ABC find it difficult to work together as they have traditionally focused exclusively on their own specialisms and would be unwilling to do anything outside of their job descriptions.

Which of Handy's cultural types does ABC currently have and which should it move to if it is to successfully compete in its new marketplace?

	Current	New
A	Task	Person
B	Role	Task
C	Person	Task
D	Power	Role

87 J is a manager with EFG. He does not get on well with the employees who report to him and has little real power to punish or reward the staff for their behaviour. Which of the following management styles does Fiedler suggest would work best for J?

- A Psychologically close
- B Psychologically open
- C Psychologically committed
- D Psychologically distant

- 88 Match up the following elements within CDE, an accountancy company, with how they would be classified by Johnson and Scholes' cultural web.**

Symbols	There is a timesheet system accounting for each hour of time worked in a week.
Rituals and routines	All decisions on Audit work programmes come from head office.
Control systems	People often work through lunchtime and it's not unusual for people to work after 6pm.
Power structures	There are a finite number of parking spaces allocated to a few key staff members.

- 89 EFG is a large organisation with a range of incentives available to motivate and improve the performance of its staff. Which of the following incentives will be most appropriate for staff working in the HR department?**

- A Commission
- B Piece rate
- C Profit sharing
- D Productivity plans

- 90 A manager is planning on introducing a new computer system into her department. She plans to offer her staff bonuses to encourage them to use the new system, as well as relying on her own personal charisma.**

Which TWO of the following sources of power is the manager planning to use?

- A Reward
- B Legitimate
- C Referent
- D Coercive
- E Expert

- 91 The Equality Act 2012 aims to strengthen the protection against discrimination in the workplace and in the wider society. According to the act, it is unlawful to discriminate against people on a number of grounds. Which of the following grounds for discrimination is NOT covered by the act?**

- A Marriage and civil partnership
- B Religion or belief
- C Physical appearance
- D Age

- 92 Which of the following is NOT a requirement of effective delegation?**
- A Clearly defining the subordinate's goals and the limits of the delegated authority
 - B Ensuring that the subordinate will be able to undertake the task competently
 - C Backing off so that the subordinate has to perform the task unassisted
 - D Reviewing results and offering feedback on performance at agreed points
- 93 Which TWO of the following would be a justified reason for redundancy?**
- A Where an employee's conduct is unacceptable
 - B Where a department or team persistently underperforms
 - C Where an employee is no longer legally able to perform the role
 - D Where the type of work which the employee undertakes is no longer carried out
 - E Where an employee's part of the business ceases trading
- 94 In a typical hierarchical organisation, the requirement of a lower-level manager to answer to a higher-level manager in the chain of command is referred to as:**
- A authority
 - B empowerment
 - C accountability
 - D super-ordination
- 95 At which level of control within an organisation would the setting of the control environment be a responsibility?**
- A Strategic
 - B Operational
 - C Tactical
 - D Group
- 96 According to Schein, culture exist at three levels: 'Artefacts', 'Values' and 'Basic assumptions'. Which TWO of the following relate to Values?**
- A The things that can be seen, heard and observed
 - B Deeply held beliefs
 - C The things that can be identified from stories
 - D The way we do things around here
 - E How people justify what they do

- 97 Which of the following is seen as a DISADVANTAGE of having a strong culture?**
- A Strong cultures may regulate behaviour and norms within the organisation
 - B Strong cultures may reduce differences amongst the members of the organisation
 - C Strong cultures may affect the organisation's ability or desire to learn new skills
 - D Strong cultures may facilitate good communication and coordination within the organisation
- 98 Which contemporary writer argued that we need to be able view organisations from a range of different perspectives in order to understand and improve effectiveness and that three key perspectives were organisations as machines, organisations as organisms and organisations as cultures?**
- A Adair and Fiedler
 - B Morgan
 - C Burns and Stalker
 - D Trist and Bamforth
 - E McGregor
- 99 Which THREE of the following statements regarding management concepts are correct?**
- A Responsibility can be delegated but authority cannot
 - B Authority can be delegated but responsibility cannot
 - C The scope of responsibility must always exceed the scope of authority
 - D Traditional authority is based on custom and practice
 - E Power is the ability to exert influence
 - F Delegation is where employees are given autonomy and responsibility to undertake tasks without being directed at each step by management
- 100 In the context of a balanced scorecard approach to the provision of management information, which TWO of the following measures might be appropriate for monitoring the innovation and learning perspective?**
- A Training days per employee
 - B Employee satisfaction
 - C Cost income ratio
 - D Percentage of revenue generated by new products and services
 - E Customer satisfaction

- 101** G is a member of a project team. His colleagues in the team rely on him to read and check complex project documentation. G has a keen eye for detail and often identifies minor details in documents that others miss but may be of significance. Despite this diligent approach, G always meets his deadlines. However, Some of G's colleagues feel frustrated when he refuses to involve others. He can hold up progress as he will not agree to the team signing off project documents until all of his concerns are fully discussed.

According to Belbin's team roles theory, G is an example of which of the following?

- A Implementer
- B Completer-finisher
- C Monitor-evaluator
- D Shaper

- 102 Match the types of conflict to the correct statement:**

Horizontal	Tends to cause alienation between groups and individuals
Vertical	Considered positive and beneficial to the organisation
Constructive	Occurs between departments at the same level in the organisation
Destructive	Occurs between individuals and groups at different levels

- 103** J manages a team of workers within her department. She has recently sat in on a team meeting during which the team had started discussing which roles each team member would take on.

Which of Tuckman's stages of group development does J's team appear to have reached?

- A Storming
- B Norming
- C Performing
- D Forming

- 104** According to transaction cost theory, the mechanisms that organisations have to choose between to control their resources and carry out their operations are:

- A markets or structures
- B hierarchies or markets
- C structures or culture
- D hierarchies or culture

105 Belbin suggested a number of team roles including the following:

Team worker	Plant	Monitor-Evaluator	Completer Finisher	Implementer (company worker)
-------------	-------	-------------------	--------------------	------------------------------

Match the following personalities to the appropriate role defined by Belbin.

- A S is a very quiet person, she often reserves her opinion until being directly asked for it however she always offers unusual and creative suggestions when the team is faced with difficult problem
- B J is respected by all team members for his analytical skills, though he rarely gets invited to out-of-office private parties as many find him tactless
- C E is the company's HR manager, she ensures that any potential conflicts are promptly identified and resolved and the team members work harmoniously

106 Which of the following **LEAST** accurately completes the statement: 'A win-win negotiation strategy is most likely when...'

- A both parties are aggressive
- B both parties focus on problem-solving strategies
- C both parties adopt a collaborative approach
- D both parties are assertive

107 EFG has a large marketing department. In which **THREE** of the following ways would this department co-ordinate with EFG's finance department?

- A Decisions on the quantity of raw materials required
- B Establishing credit terms for customers
- C Budgeting for sales volumes
- D Calculating pay rises for staff
- E Decisions on the selling price of the product
- F Determining market share

108 Which of the following statements is/are correct with regards to the differences between individuals and teams? Select all that apply.

- A Teams tend to enjoy synergies which cannot be achieved by individual workers
- B Teams tend to make decisions more rapidly than individuals
- C Individuals are less likely to make definite decisions and rely on compromises
- D There are fewer controls in place when groups make decisions
- E Teams tend to make more risky, or more cautious, decisions than individuals.

- 109** There are a number of techniques which can be used to manage inter-group conflict, including:

Third party consultants	Member rotation	Superordinate goals	Confrontation
-------------------------	-----------------	---------------------	---------------

Match the following descriptions to the correct technique.

- This technique involves the conflicting party directly engaging with each other and negotiating with one another to try to work out their differences.
- This technique involves management imposing shared targets on both parties which will require the cooperation of both parties in order to meet the target.
- With this technique, members of one department will be asked to work in the other department for a period of time, to allow them to better understand the issues faced by the other department.
- A technique which can be used where conflicting parties are uncooperative is to bring in an independent party to meet with the conflicting parties to encourage them to reach agreement.

- 110** Which of the following can be used to describe the homogeneity of objectives and thinking in group work?

- A The Abilene Paradox
- B Risky shift
- C Group polarisation
- D Groupthink

- 111** The four steps to negotiating an agreement go in what order:

- A persuade other party, know the background, influence the other party, agreement is reached
- B proposing a solution, clarifying objectives, narrow the gap, obtain feedback
- C information gathering, present their starting positions, narrow the gap, agreement is reached
- D information gathering, present their starting positions, look for a mutually beneficial outcome, narrow the gap

- 112** Mainwaring suggested four conflict managing strategies:

stimulation and orchestration	suppression	reduction	resolution
-------------------------------	-------------	-----------	------------

Match the strategy to the definitions given below:

- A involves the use or threatened use of authority or force
- B seeks to eliminate the root causes of conflict
- C involves building on areas of agreement and on common objectives
- D actively encourages conflict as a means of generating new ideas and new approaches or of stimulating change

- 113** According to Cialdini, when trying to influence another person, the following six principles of influence can be used:

- Reciprocity
- Commitment
- Social proof
- Liking
- Authority
- Scarcity

Match the following actions taken to the correct principle.

- A Remind the person of things you have done for them in the past.
- B Advise people that they could lose out if they don't act quickly.
- C Use the opinions of those already supporting you to influence others to join that support.
- D Building relationships with the people you want to influence so that they trust you.

- 114** Match the definitions to the correct type of asset specificity.

The assets may be immobile or attached to a particular location	Dedicated asset
The unique ability to provide a service at a certain time	Physical asset
An asset with unique properties	Site
An asset made to an exact specification and has only one application	Temporal

- 115** Research on group effectiveness has concluded that the most consistently successful groups:

- A are those in which all members are innovative
- B comprise a range of roles undertaken by various members
- C are those in which all members are very intelligent
- D comprise a range of roles all undertaken by a few members of the group

- 116** Tuckman identified five stages in group development.

In which order do the stages occur?

- A Forming, adjourning, storming, performing, norming
- B Forming, norming, storming, performing, adjourning
- C Storming, forming, performing, adjourning, norming
- D Forming, storming, norming, performing, adjourning

- 117** The finance function can be positioned in different ways within the organisation.

Complete the following sentences relating the positioning of finance using some of the following words.

Consistency	Reduced	Increased
Business partnering	Business Process Outsourcing	Shared services centres

When the finance function is carried out by an external party, this is known as _____.

With _____ the confidentiality risk is _____.

_____ premises costs and _____ quality of service provision are benefits of _____.

With _____ the knowledge of the business area is _____ but there can be duplication of effort across the organisation.

- 118** The conflict management strategy recommended by the Thomas-Kilmann Conflict Mode Instrument as a means of finding a win:win situation is which of the following?

- A compromising
- B competing
- C collaborating
- D accommodating

- 119** Which of the following statements about non-verbal communication is NOT true?

- A Non-verbal actions can vary across countries and cultures
- B The actual words said are just as important as the way they are said
- C Physical gestures such as a hand shake or a pat on the back are considered non-verbal communication
- D Appearance and posture are important elements of communication

- 120** Negotiation is a process in which:

- A two or more parties try to initiate differences
- B two or more parties try to avoid differences
- C two or more parties try to prevent differences
- D two or more parties try to resolve differences

121 Match the different team roles, as defined by Belbin, to the following descriptions:

Plant	Supports other members of the team and helps to promote harmony.
Completer Finisher	Imaginative and very good at coming up with original ideas and suggestions.
Team Worker	Gives attention to detail and is concerned with meeting deadlines.

122 Which TWO of the following are strategies for managing conflict explained by Mainwaring?

- A suppression
- B negotiation
- C discipline
- D reduction
- E persuasion

123 Tuckman's team development model explains that, as a team develops and relationships become more established, the leadership style should change.

What name did Tuckman give to the stage of team development in which the team responds well to the team leader, roles and responsibilities are clear and accepted, commitment is strong and major decisions are taken by group agreement?

- A Storming
- B Performing
- C Forming
- D Norming

124 Which of the following are all types of asset specificity?

- A brand name, dedicated, cost, style
- B human asset, site, temporal, flexible
- C dedicated, physical, temporal, brand name
- D intangible, human asset, brand name, site

125 In Belbin's team roles, which role is defined as 'committed to the task, may be aggressive and challenging, will always promote activity'?

- A Shaper
- B Plant
- C Team Worker
- D Completer Finisher

126 Identify, in the correct order, the four main stages in the negotiation process.

1	Bargaining
2	Preparation
3	Closing
4	Opening

127 Vaill suggested that high performing teams had a number of common characteristics. Which TWO of the following are some of those characteristics?

- A Strong and clear leadership
- B The team should be of limited duration
- C The team should be small
- D Generation of inventions and new methods
- E Voluntary membership

128 Which of the following statements regarding Finance's relationship with professional advisors is NOT true?

- A It is important to be open with advisors to let them get to know your business.
- B It is important to maintain good relationships with professional advisors in case they are needed at short notice.
- C Advisors would only be contacted when sales or profits are low.
- D Examples of professional advisors used by organisations are solicitors, tax consultants and environmental advisors.

129 Group working can bring many advantages, but it can also bring some problems. Match the problem with group working with its description.

Conformity	Groups can end up taking decisions which are riskier than the individual members would take
Abilene paradox	Group members reach consensus without critically testing, analysing and evaluating ideas
Risky shift	The group can end up with an outcome which none of the members wanted
Groupthink	Individuals within the group can be persuaded to accept decisions which they know to be wrong

130 When working in groups, the combined activity of the group can be greater than the sum of the activities of each member of the group. What is the name given to this phenomenon?

- A Norming
- B Groupthink
- C Synergy
- D Conformity

131 Mainwaring suggested a number of causes of conflict including:

Interdependencies
Misunderstandings
Conviction beliefs
History

Complete the following sentences using some of the above words:

Where boundaries between departments are not clearly defined, this can cause problems of _____.

Communication problems can lead to _____.

_____ suggests that conflict tends to be self-perpetuating.

132 Match the element of the communication process to its description.

What is being transmitted	Decoding
The medium through which the message is being sent	Feedback
The message is translated and its meaning is generated	Channel
The receiver responds to the message	Noise
Anything which stops the message being transmitted as intended	Message

133 There are two types of conflict within an organisation:

Horizontal	Vertical
------------	----------

Match the following statements to whether they relate to horizontal or vertical conflict.

- A Conflict occurring between groups and departments at the same level in the hierarchy.
- B Where functional specialisms cause differences in cognitive and emotional orientations.
- C A reward system based only departmental performance may encourage managers to meet goals at the expenses of other departments.
- D Physiological distance can make workers feel isolated from the organisation.

134 According to Cialdini, there are six principles of influence:

Reciprocity
Commitment
Social Proof
Liking
Authority
Scarcity

Match the following descriptions to the correct principle.

- A Identify what you want to achieve and what you need from the other person then consider what you may be able to offer them
- B Build relationships with those you want to influence so that they trust you
- C Use the opinions of those already supporting you to influence others to join that support

135 Which of the following statements relating to non-verbal communication is NOT true?

- A Maintaining eye contact is an important element of non-verbal communication
- B Non-verbal actions can help to ensure that the message is communicated correctly
- C Non-verbal actions are universally understood
- D The tone used when conversing is an important part of the communication process

136 The finance function can be positioned in three main ways:

Business partnering	Shared services centre (SSC)	Business process outsourcing (BPO)
---------------------	------------------------------	------------------------------------

Match the following definitions to the correct position above.

- A The finance function is carried out by an external party
- B A dedicated finance function is set up within each business unit
- C The finance function is consolidated and run as a central unit within the organisation

137 Match the problems with meetings with the actions which could be taken to avoid them.

Attendees talk too much	Ensure the correct attendees are invited
Objectives of the meeting are unclear	Ensure action points agreed and minutes of meeting are issued
Action points from previous meetings not carried out	Agenda should be circulated before the meeting
Lack of enthusiasm at the meeting	Chairperson should impose order

138 Which of the following statements about persuasion are true?

- A Persuasion is a weaker form of influence
- B Persuasion can be direct or indirect
- C The six principles of influence can be used in persuasion
- D In persuasion you are basically telling the other person what to do

139 The finance function can be carried out within the business unit (business partner), by a third party (BPO) or internally in a shared service centre (SSC).

Which of the following comments relating to BPO are true?

- A Using BPO will often lead to the loss of best practice
- B BPO will offer more control over information provided
- C Using BPO will result in losing economies of scale
- D A risk of BPO is the loss of intellectual property

140 The strategy for managing conflict which involves building on areas of agreement and on common objectives, and changing attitudes and perceptions of the parties involved is known as which of the following?

- A Conflict stimulation and orchestration
- B Conflict suppression
- C Conflict reduction
- D Conflict resolution

MANAGING PROJECTS

141 Which of the following would be an internal trigger for change in an organisation?

- A A major acquisition
- B Changes in fashion trends
- C New legislation for protection of the environment
- D Trade union demands for a shorter working week for all employees

- 142** A number of tools are used in planning for activities and costs within a project, including:

Work breakdown structure
Work packages and Statements of work
Product breakdown structure
Cost breakdown structure

Match the tool to its purpose from the following list.

To specify the work to be done for each activity and who will carry it out
To cost each element of the project
To divide the work to be carried out into manageable pieces
To identify the product purchases required for each activity

- 143** Configuration management is designed to:

- A track deviation from proposed deliverables
- B track deviation from schedule
- C track product changes and versions
- D track co-ordination between different project teams

- 144** According to Gido and Clements, during which phase in the project lifecycle would a feasibility study be undertaken?

- A Identification of a need
- B Development of a proposed solution
- C Implementation
- D Completion

- 145** Lewin's force field analysis model in organisation identifies driving forces and restraining forces that influence change.

When there is strong resistance to change, Lewin recommended that the most effective way for management to achieve the desired change would be to do which of the following? Select all that apply.

- A increase the strength of the driving forces
- B reduce the strength of the driving forces
- C increase the strength of the restraining forces
- D reduce the strength of the restraining forces

146 Match the benefit to the project management tool.

Resource histogram	Establishes the authority and responsibility for each part of the project
Critical path analysis	Identifies the activities that cannot overrun without delaying the overall project completion
PERT	Allows a calculation of contingency to be added to the project plan
Breakdown structures	Helps with capacity planning

147 Why does Lewin refer to the first stage of his three-stage change model as unfreezing?

- A Because there is a need to melt existing patterns of behaviour
- B Because of the impact of global warming on corporate activity
- C Because employees are showing resistance to the proposed change
- D Because the company is lagging behind its competitors in terms of innovation

148 Kanter argued that change-adept organisations (organisations that manage change successfully) share three key attributes. Which of the following are these three attributes?

- A imagination to innovate, openness to collaborate, professionalism to perform
- B openness to collaborate, professionalism to perform, resilience to survive
- C professionalism to perform, imagination to innovate, resilience to survive
- D resilience to survive, openness to collaborate, imagination to innovate

149 In the PRINCE2 project organisational structure, a team that provides an independent view of how the project is progressing, reflecting business, user and specialist interests, is called a project _____ team.

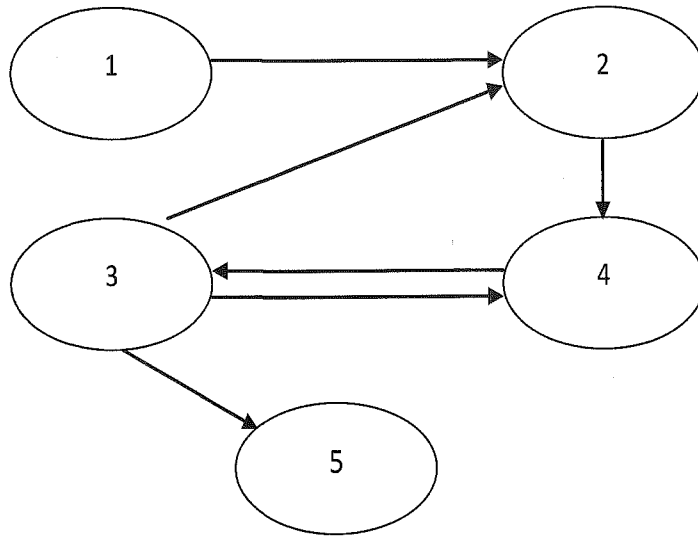
Which of the following words correctly fills the gap in the above definition?

- A Steering
- B Management
- C Assurance
- D Support

150 The Project Management Institute's five process areas are:

- A Executing
- B Initiating
- C Closing
- D Controlling
- E Planning

Place the process area in the correct place in the following diagram:



151 Who is ultimately responsible for closing down an unsuccessful project?

- A Project team
- B Project steering committee
- C Project owner
- D Project customer

152 A hierarchical view of the way a project is structured, identifying progressively detailed task elements, is known as which of the following?

- A CBS
- B CPA
- C WBS
- D PID

153 Within a business strategy a change that is to be implemented quickly and will be radical is known as?

- A Adaptation
- B Evolution
- C Reconstruction
- D Revolution

154 The extent of work needed to produce the project's deliverables is known as which of the following?

- A scale
- B cycle
- C time frame
- D scope

155 A project manager requires a number of skills. Which of the following is not a skill not necessarily required by a project manager?

- A leadership and delegation
- B change management and problem-solving
- C specialist financial
- D negotiation

Questions 156, 157 and 158 are based on the following scenario:

C is in charge of a group of 15 people involved in a series of complex projects in the same field. The group has been working together amicably and successfully for a considerable time. Its members value C's leadership.

The next project that the group is expected to carry out has the following activities, time estimates (in months) and precedences:

<i>Activity</i>	<i>Precedence</i>	<i>Duration</i>
A	—	4
B	—	3
C	A	6
D	B	8
E	C, D	3

156 In the scenario, the team's stage of development in terms of Tuckman is:

- A Forming
- B Storming
- C Norming
- D Performing

157 In the scenario, calculate the overall duration of the next project.

_____ months

158 In the scenario, for the next project, the critical path is:

- A A C E
- B B D E
- C A B D E
- D A B C D E

159 Beer and Nohria identified two approaches to transformational change within an organisation, the Theory E and Theory O approaches. Theory E is a 'hard' approach based on maximising economic value and Theory O is a 'soft' approach based on organisational capability.

According to Beer and Nohria, when the management of an organisation wish to implement transformational change, which of the following would be the most effective approach?

- A Theory O approach only
- B Theory E approach first, followed by the Theory O approach
- C Theory O approach first, followed by the Theory E approach
- D Theory E and Theory O approaches simultaneously

160 Among project stakeholders, the person/group that is the source of the project manager's authority, and acts as agent of the organisation to ensure that the project achieves its objectives is called:

- A The project owner
- B The project customer
- C The project champion
- D The project sponsor

161 Which of the following is an example of incremental change within an organisation?

- A Downsizing
- B Introducing a new IT system
- C Restructuring
- D Changing the corporate culture

162 Which of the following planning techniques takes the form of a component (or 'stacked') vertical bar chart?

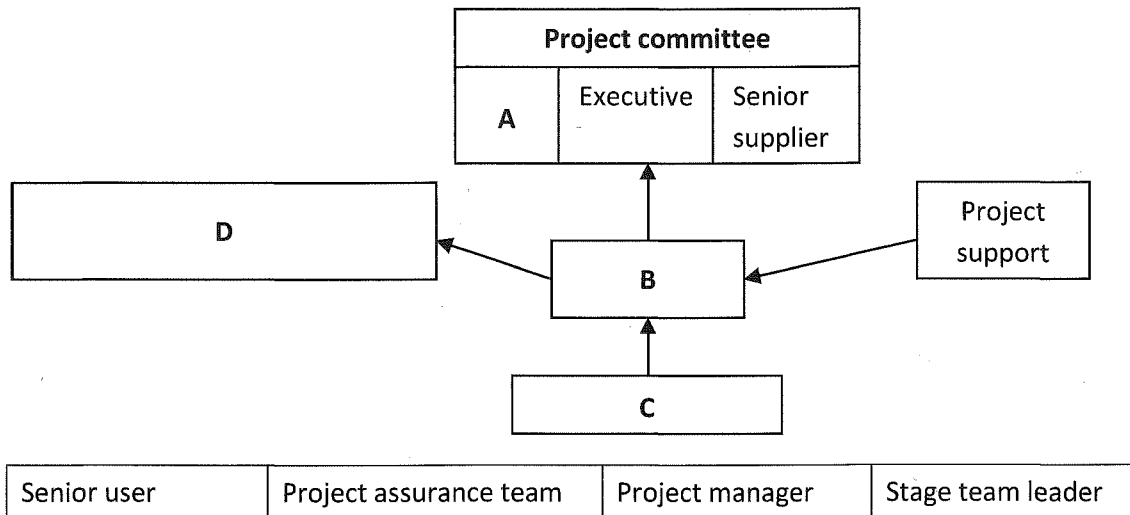
- A Gantt chart
- B Resource histogram
- C Network diagram
- D Work breakdown structure

- 163 Which tool or technique, which is used for planning the time of a project, is used to measure how far the project has progressed and how far it has to run?**
- A Gate
 - B Milestone
 - C Critical path
 - D PERT
- 164 Which type of feasibility investigates whether project requirements can be met using available material, technology and processes?**
- A Economic
 - B Social
 - C Ecological
 - D Technical
- 165 Which of the following are key areas of the Project Management Body of Knowledge (PMBOK)? Select all that apply**
- A Integration
 - B Procurement
 - C Feasibility
 - D Human resources
 - E Planning
 - F Control
- 166 Which of the following statements about the matrix organisation structure is true?**
- A It can improve lateral communication and cooperation between specialists
 - B It can enhance reporting between subordinates and managers
 - C It can minimise time spent in meetings
 - D It is most useful where for companies with multiple projects where all the projects are running at the same time
- 167 Which of the following is NOT one of the PRINCE2 process areas?**
- A Managing stage boundaries
 - B Managing product delivery
 - C Risk management
 - D Controlling

168 Which of the following project stakeholders is the person who provides the resources for the project?

- A Project sponsor
- B Project manager
- C Project owner
- D Project customer

169 Identify roles A, B, C and D missing from the basic PRINCE2 project organisational structure from the options below.



170 A final report is produced at the end of the project. Which of the following would NOT be included in the final report?

- A Actual achievement in relation to costs and project schedules
- B Customer's original requirement and original project deliverable
- C The extent to which the benefits defined in the original business case have been achieved
- D List of deliverables which the customer received

171 The management of a hospital is trying to persuade its doctors and qualified medical staff that due to a chronic shortage of trained medical staff throughout the country, the problems that the hospital faces in dealing with patients will be eased if unqualified staff are given training to carry out certain types of medical treatment on patients.

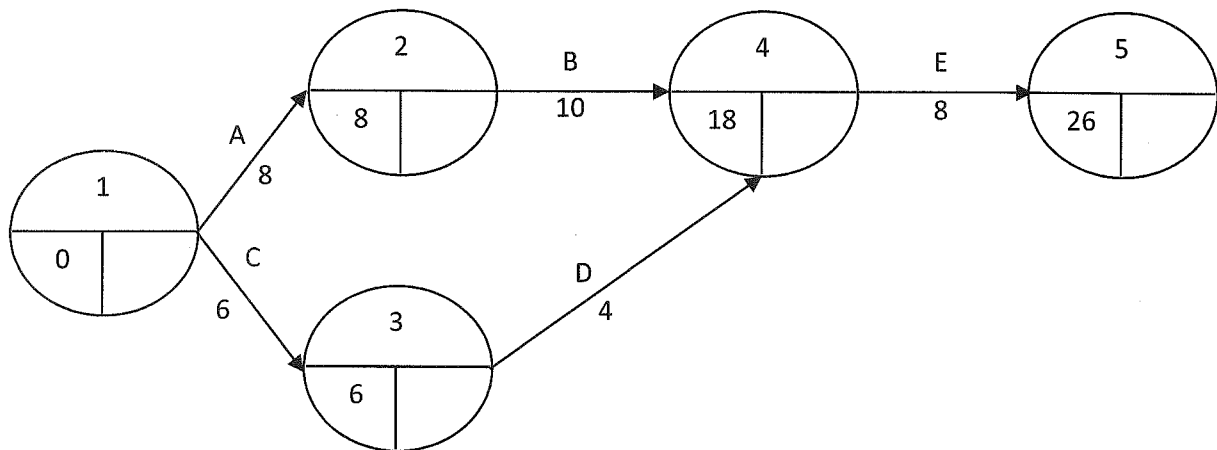
According to Lewin's three-step model of change, which stage in the process is gaining acceptance by qualified staff of the need to allow unqualified staff to treat patients?

- A Unfreezing
- B Movement
- C Re-freezing
- D Cooling

172 Which of the following factors is most likely to lead to successful organisational change?

- A Imposed by external consultants
- B Maintaining existing policies and procedures
- C Autocratic leadership
- D Initiated and supported by top management

173 Consider the following network diagram of a simple project.



Calculate the float time on activity C.

_____ days

174 At what stage in the project life cycle is the scope of a project determined?

- A Planning
- B Initiating
- C Executing
- D Controlling

175 Planned organisational change is most commonly triggered by the need to respond to new threats or opportunities presented by which of the following?

- A the organisation's culture
- B developments in the external environment
- C the internal environment
- D action by the organisation's management

- 176** A change that aims to allow the business to maintain its current market share by adopting minor initiatives over the next few years would be known as _____.

A change that is implemented gradually through inter-related initiatives is known as _____.

Complete the above sentences by using some of the following words.

- Adaptation
- Evolution
- Reconstruction
- Revolution

- 177** Which of the following would NOT generally be part of configuration management within a project?

- A Authorisation and tracking of changes
- B Version control for documentation
- C Access control over project records
- D Progress reporting

- 178** In a project, when there are conflicting objectives, a strategy to please 'as many of the stakeholders as much of the time as possible' is known as:

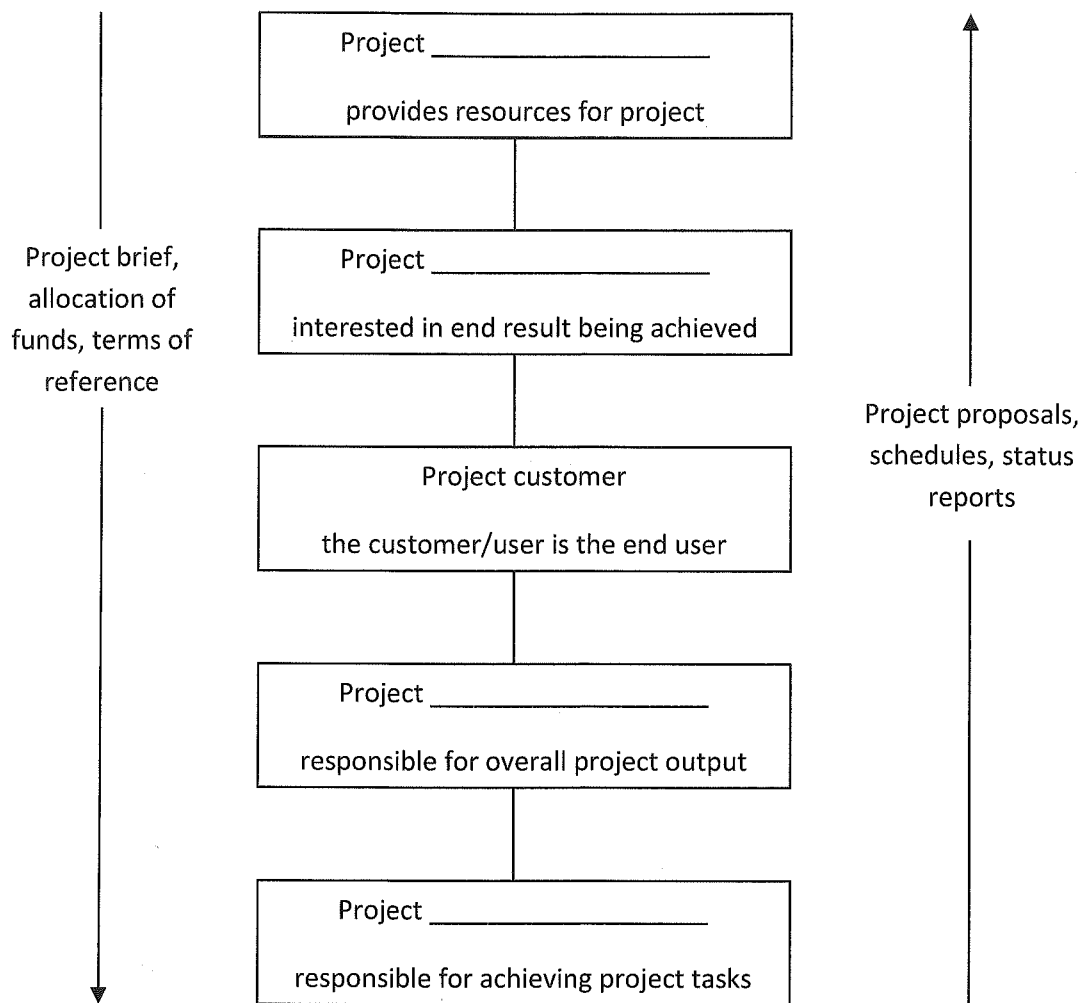
- A Sequential attention
- B Satisficing
- C Optimising
- D Prioritising

- 179** A key skill required by a project manager is leadership. Blake & Mouton's managerial grid assesses leadership styles along two axes – concern for task performance and concern for people/relationships.

Each of these is graded on a scale of 1 to 9. Which managerial style did they describe as 'team management'?

- A Very high concern for people and very low concern for the task
- B Very high concern for the task and very low concern for people
- C Very high concern for people and very high concern for the task
- D Very low concern for people and very low concern for the task

- 180 Based on the principles of 'one person – one boss' and a decision-making authority, Gido and Clements's project hierarchy is shown below.



Complete the diagram by inserting the correct stakeholder from the following options:

owner	manager	sponsor	user	team	champion
-------	---------	---------	------	------	----------

- 181 Which of the following activities would NOT be carried out as part of the executing stage of an information systems project?
- A Software testing
 - B Preparation of training materials
 - C Installation and changeover procedures
 - D Carrying out a risk analysis

182 Match the following descriptions to the types of change being described.

Evolution	Reconstruction	Adaptation	Revolution
-----------	----------------	------------	------------

- A change that is to be implemented over a long period of time but will radically alter the business operations.
- A change to realign the way in which the organisation operates, implemented in a series of small steps.
- A change to realign the way in which the organisation operates, with many initiatives being implemented simultaneously.
- Transformational change that occurs via simultaneous initiatives on many fronts.

183 Teams are formed to undertake projects. As teams are developing, they go through a number of stages. At which stage of group formation and development does establishing standards and agreeing ways of working occur?

- A Storming
- B Performing
- C Norming
- D Forming

184 Which of the following statements regarding Gantt charts is/are NOT correct? Select all that apply.

- A A Gantt chart can show planned and actual activity durations on the same chart
- B A Gantt chart is an alternative or complementary approach to network analysis
- C Gantt charts can be used in both planning and control of a project
- D A Gantt chart is a stacked, vertical bar chart
- E A Gantt chart is drawn in real time

185 Which of the following would be items focused on by a conformance management system?

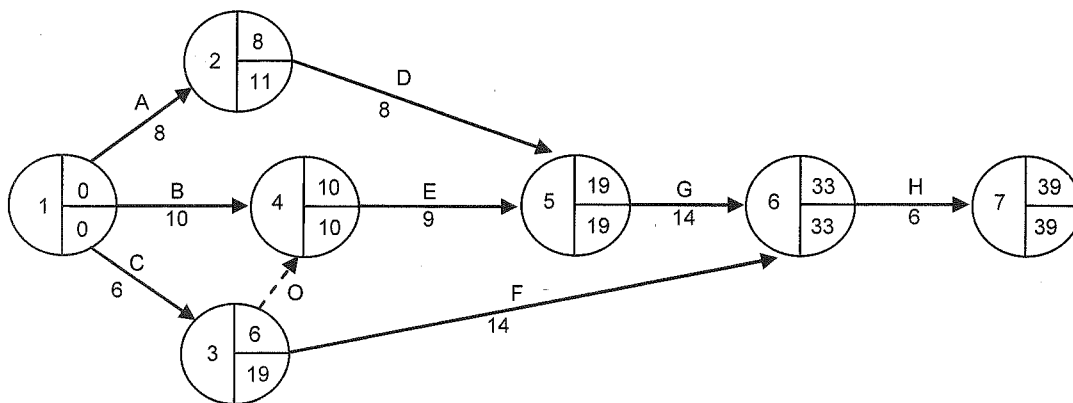
- A Prioritising change requests, recording of changes and agreement of a change budget
- B Functional quality and client satisfaction measures
- C Inspection, quality control and quality assurance
- D Access control over project records and version control for documentation

186 Which three of the following are used as a control element within projects?

- A Project reports
- B Exception reports
- C Project meetings
- D Feasibility study
- E Scenario planning

- 187 Which of these techniques would be used at the completion stage of a project?**
- A Progress reports
 - B Gantt chart
 - C External review
 - D PERT
- 188 Which of these meetings would take place regularly with the objective of providing an update on the status of the project?**
- A Team meetings
 - B Progress review meetings
 - C Problem solving meetings
 - D Business review meeting
- 189 Which ONE of the following is a part of the 'identification of need' phase of the project life cycle?**
- A The Completion Report
 - B The Milestone Review
 - C Project scheduling
 - D The Project Initiation Document

Questions 190 and 191 are based on the following diagram. Durations are shown in weeks.



- 190 Identify the critical path.**
- A ADGH
 - B CFH
 - C BEGH
 - D CEGH

- 191 Which of the following statements regarding the diagram are true? Select all that apply.**
- A The slack on activities C and F is 14 weeks.
 - B If activity E was to overrun, the project duration would increase.
 - C Activity D could take 3 weeks longer and the project would still be completed on time.
 - D Activities A, C and D can start straight away.
 - E If activity H took 10 weeks, the overall duration of the project would be 43 weeks.
- 192 It is important to identify risks within projects and to consider how these risks can be managed. Where a risk is identified as having high likelihood but low impact, the most appropriate risk management approach would be:**
- A Transfer
 - B Avoid
 - C Reduce
 - D Accept
- 193 When planning for time within a project, account must be taken of risk and uncertainty and there are a number of techniques which can assist with this. Which of the following techniques involves adding artificial slack into risky activities?**
- A Scenario planning
 - B Buffering
 - C Float
 - D PERT
- 194 Project managers may have to adapt their management style as the project progresses. A management approach that focuses on adapting management behaviour to the particular circumstances of the organisation and to each given situation is known as:**
- A Participative leadership
 - B Scientific management
 - C Laissez-faire
 - D Contingency theory
- 195 One role of project managers is to motivate the project team. If the project manager adopted Douglas McGregor's Theory X approach, what would they believe people are motivated by? Select all that apply.**
- A money and security
 - B achievement at work
 - C interpersonal relationships
 - D recognition for good work
 - E increased responsibility

- 196 Which of the following statements about project management software are true? Select all that apply.**
- A Software can provide a central store for project documentation
 - B Using software will ensure the project delivers within budget
 - C The software makes it easier to produce diagrams such as Gantt charts
 - D Project management software is generally expensive and complex
 - E The software could include central calendars for managing meetings during the project
- 197 A worry that changes within the organisation will make the work more monotonous would come under which heading for resistance to change?**
- A Social factors
 - B Personal factors
 - C Job factors
 - D Economic factors
- 198 Which three of the following statements regarding the matrix structure are correct?**
- A The matrix structure combines the benefits of decentralisation and co-ordination
 - B Within the matrix structure, employees will have dual reporting lines
 - C The matrix structure is largely theoretical and is rarely used in practice
 - D The matrix structure is especially useful when an organisation is undertaking a single large project affecting the whole organisation
 - E The matrix structure should lead to less duplication across projects and therefore save money
- 199 Which TWO of the following are approaches to managing resistance to change as defined by Kotter and Schlesinger?**
- A Participation
 - B Persuasion
 - C Suppression
 - D Facilitation and support
 - E Delegation
- 200 According to Herzberg's theory of motivation, which of the following should be in place to avoid dissatisfaction? Select all that apply.**
- A Team working
 - B Career enhancement
 - C Pleasant physical and working conditions
 - D Appropriate level of salary and status for the job
 - E Increasing levels of responsibility

Section 2

ANSWERS TO OBJECTIVE TEST QUESTIONS

BUSINESS MODELS AND VALUE CREATION

1 Social

The social aspect of PESTLE analysis will consider such things as population shifts, age profiles, attitudes, values and beliefs. Cultural or demographic factors would generally be considered under this heading.

2 The correct matching of the definitions is shown below:

The age at which people are allowed to drink alcohol	Legal
Government tax on sales of alcohol	Political
The level of disposable income people have	Economic
People's religious beliefs and attitudes towards alcohol	Social

3 C

The relatively low cost of the machine and licence, together with the fact that an unskilled person would only require a two day training course suggests that it would be fairly easy for anyone to enter the market. Using the five forces model would conclude that the threat of new entrants is high.

No information is given in the question regarding the powers of the buyers or suppliers or the rivalry within the industry.

4 The force which would consider this information is **Rivalry and from the scenario, the force would be **High**.**

The threat from rivals will be high as the four main players are similar size and account for the majority of the market. The leading company holds 26% of the market. In addition, the market is growing slowly therefore to make inroads into this market it will require to take some market share from one of the main players which they would resist strongly.

5 C

Numerous suppliers would suggest that supplier power is low and in terms of barriers to entry, if anything this would enhance the likelihood of entering the market.

6 A, B and D

Barriers to entry to a market are those aspects which make it difficult for a new company to enter the market. Potential entrants to the market will want the barriers to be low, but existing companies operating in the market will want the barriers to be high to stop new entrants coming in to the market and intensifying competition.

7 B

Competitors will need to sell a lot to cover high fixed costs so will fight aggressively to maximise sales and cover their fixed costs.

Rapid growth in the market would actually make existing competition less intense, as existing competitors would struggle to keep up with demand and would not need to acquire competitor's customers to grow.

Relative quality and costs of similar products drives the threat of substitute products.

High barriers to entry would affect the threat of new entrants.

8 D

It will be difficult for new companies to enter this market. This is mainly due to the accreditation that is required before a company can offer courses, and this process can take several years.

9 B and D

The existence of patents makes it harder for new companies to enter the market. Also, where the existing firms in the market are large, new starts will find it hard to compete and are therefore less likely to enter the market.

The others would all make it easier or more attractive to enter the market.

10 C

Threat of substitutes refers to people's tendency to replace one product with another.

11 A

According to Porter, organisations can generate competitive advantage through:

- cost leadership (offering the same quality as competitors but at a lower price)
- differentiation (offering innovative and high quality products which can be differentiated from rival products and for which high prices can be gained)
- focus (concentrating on a small, niche part of the market).

12 B and C

Option A is incorrect in that Big Data does not refer to any specific financial amount. Option D is also incorrect. Big Data can indeed come from many sources, but this is too narrow a definition. Big Data refers to the large volume of data, the many sources of data and the many types of data.

Option E is also incorrect as big data contains both financial and non-financial data.

13 D

By definition.

14 C

This is a description of artificial intelligence.

15 A, B and D

In order to increase security and address the issue of cyber risk, all of the transactions in a blockchain are publically available and all transactions must be verified by a decentralised network of computers.

16 B, C and F

The IBM report "The New Age of Ecosystems" suggested that emerging technologies create an environment that is connected and open, simple and intelligent, fast and scalable.

17 B

'Reach' refers to a participant's ability to extend activity or interactions throughout the environment.

18 F

'Course' refers to the speed and direction at which content or value is exchanged within an ecosystem. Jessie's business model relies on a high-speed transfer of information and value.

19 B

Statement (i) is false – in traditional markets we assume that entities act out of individual self-interest but within ecosystems value creation is seen to be more collaborative.

Statement (ii) is true as ecosystems only exist because participants can deliver more value acting together for the mutual benefit. This results in higher levels of coordination, shared ideals, shared standards and shared goals, than in traditional markets.

20 B

The specialist nature of Wimber's skills are indicative of high barriers to entry within the industry and, hence high complexity. The presence of extensive regulation would suggest rules-based transactions and tight orchestration.

21 D

Barriers to entry, and hence complexity, are low, yet orchestration (by the regulator) is high, indicating a wolf pack ecosystem.

22 A

Brand atomization is when organisations need to design their offerings so that they can be more widely distributed and be part of the platform that is offered by other providers.

23 C

According to the World Economic Forum/Accenture analysis, there is greater instance these days of customers attaching more importance to independent reviews of products or services than to marketing information provided by the business or reviews from other organisations (such as trade journals). The purchase decision will be influenced by what fellow customers have said, meaning that a poor review can have a disastrous effect on future sales potential. This is known as 'peer review and advocacy'.

24 A

Defining value is when organisations look at who they create value for and what counts as value for them.

25 B

Stakeholders with low interest and high power can easily increase their level of interest which would make them key to any decisions being made. The best way to manage such stakeholders is to keep them satisfied in order to keep them from moving from quadrant III to quadrant IV.

26 The employees would have high interest and low power therefore the correct strategy for managing them would be **keep informed**.

	low	interest	high
low			Keep informed
power			
high			

27 A

The objective is to prevent this group from joining forces with other, more powerful groups. It is important with this group that the activities of the organisation are presented as rational so that the group gain an understanding as to the reasons behind the organisation's actions.

Minimal effort would be used for stakeholders with low power and low interest.

Keep satisfied would be used for stakeholders with high power and low interest.

Key player would be used for stakeholders with high power and high interest.

28 D

Key suppliers score highly on all three attributes:

Legitimacy – the suppliers are entitled to go to court and seek a winding up order in the circumstances described.

Urgency – key suppliers have already served notice of their intent.

Power – the court may initiate a winding up order if the company doesn't act accordingly.

29 B

Statement (i) is false – the cost model includes actual as well as expected costs.

Statement (ii) is true - sharing value is based on the principle of creating shared value, which comprises shareholder value and the value delivered to other stakeholders. The pecking order depends on the seasons and cycles of firms and their operating environment. At least four stakeholder groups are in view: government (taxes); shareholders (dividends); incentives for executives (performance-related pay); and the firm (retained income for reinvestments). The sharing has to be sensitive to the interactions in the operating environment so that it does not harm the firm's reputation, or the creation and delivery of further value. The key bases for decision-making here are thus: tax strategy, dividend policy, desired capital structure and investment opportunities.

30 B and C

Desirable segments typically have customers who make few or no returns and regularly leave product reviews.

31 A, C and E

Customer segments can be based on geography (where they live); demography (gender, age, marital status, income), lifestyle (cultural practices, social values), behaviour (previous purchase history, product benefits sought, preferred means of interaction) and purchase journey (how they made purchase decisions, who was responsible for their spend, how they talked about the brand and purchase).

B is thus a geographic basis for segmentation and D a lifestyle one.

32 D

Although the customer buying journey can be fluid, complex and involve multiple channels, those channels must be integrated into a seamless experience.

33 A and C

The cost architecture is established when defining value and involves four key factors

- Efficiency of the processes.
- Levels of activity.
- Resources consumed during activities.
- Price paid for resources.

Investment opportunities (B) are a consideration when sharing residual value and collection policy (D) is part of the revenue model.

34 C and E

Value is not just another word for profit (A) and includes financial and non-financial aspects. Intangible value (B) is growing in importance, so companies should focus on it as well as tangible aspects. Creating value is not just about increasing shareholder wealth (D) – the whole point of ecosystems is the idea of creating shared value that goes beyond shareholders.

35 B

Statement (i) is false – **formulating** a value proposition that meet the needs of the high priority stakeholders is a key aspect of **defining** value rather than creating it.

Statement (ii) is true.

36

Element	YourFuture
Partners	YourFuture's ecosystem includes university departments, local authorities, map providers and businesses.
Resources	YourFuture uses its relationships with various employers to source the information needed for the web portal.
Processes	YourFuture has designed a system where potential employers can populate information directly into the web portal.
Activities	Yourfuture uses a workflow system to allocate tasks and for operational reporting.
Outputs	The e-learning platform for teachers, as they are key customers.

37

Category	Strategy
Cryptocurrency	Buyers of gaming supplies (headsets, controllers, chairs etc.) from a range of retail websites can pay for those supplies using 'Creds', earned by winning online multi-player games.
Platform	Car manufacturers that are members of DriveIT are sharing data collected from car operating systems with one-another, to improve the ways that all their vehicles operate and promote the sale of car-related products and services.
Fintech	PlaceIT is a portfolio management platform – taking business away from typically person-to-person advisers. Subscribers can use a smartphone app to get advice and manage their investment portfolio.
IoT (Internet of Things)	SwitchITon provides customers with a device and app that interconnect all of their domestic appliances and allow them to be controlled remotely.

A cryptocurrency is a digital form of money, meeting the attributes of a store of value, unit of account and medium of exchange.

A platform is a de-centralised and interactive collection of related services, often available globally, that uses Internet technologies such as cloud and mobile.

Finance Technologies (Fintech) are completely disrupting the traditional banking sector – long seen as a highly technical, highly regulated industry dominated by giant banks.

The IoT is the connected network of consumer and industrial non-IT hardware. It includes, but is not limited to, vehicles, factory machinery, domestic appliances and buildings.

38 C

The Internet of Me – users are being placed at the centre of digital experiences through apps and services being personalised.

39 D

The Platform (r)evolution – global platforms are becoming easier to establish and cheaper to run. Developments such as cloud computing and mobile technology offer huge potential for innovation and quicker delivery of next-generation services. The rate of evolution is only going to increase.

40 A, B, C, F, G and H

In order for an organisation to properly take advantage of a move to digital, or to survive digital disruption within its industry, the executive leadership team will need to demonstrate a number of abilities:

Inspirational leadership – digitisation will be an exercise in change management, but probably on a bigger and quicker scale than the organisation will typically be used to. The leadership team **will need to energise the workforce** and inspire confidence that digitisation is the right way forwards and is being carried out in the right way.

Competitive edge – not only will the leadership need to motivate others within the organisation to see the digital transformation as the right strategy; they will also have to **persuade people to potentially change their mindset**.

Establishing a strategic direction – this is probably something that the business has done for a long time, but a digital strategy may require it to be done in a different way. For example, **the planning horizon may need to be shortened, or greater flexibility introduced** – perhaps a move away from the rational model to a more emergent approach, which would enable the business to adapt as time passes.

Influence external parties – for example, providers of finance. Raising capital is likely to be necessary, but showing how that capital may be applied and the value that will result might be more problematic. Will investing in cloud technology deliver increased shareholder wealth? If so, how much? And when? There will be greater uncertainty over outcomes, and the leaders of the business will need to be persuasive and articulate a compelling value proposition.

Collaboration – the organisation will need to see itself as part of a wider ecosystem if it is to deliver the requisite value. This will require careful thought on who to collaborate with and how each part of the ecosystem will contribute.

Business judgement – **what sort of business model** will the organisation need to put in place? It is probable that an altogether different model to what has worked in the past will be required.

Execution – having determined what technologies can help to drive the business forwards, thought must then be given to how these **can be used most effectively by the people within the business**. People and technology need to work in harmony to produce the desired outcomes.

Building talent – it will be critical to identify the **skills that staff will need** to demonstrate and to manage training/recruitment to ensure that the business has those skills. **New roles are likely to be required**, including at the most senior level – for example, perhaps a new board position of Chief Digital Officer.

41 A

Establishing a strategic direction – this is probably something that the business has done for a long time, but a digital strategy may require it to be done in a different way. For example, the planning horizon may need to be shortened, or greater flexibility introduced – perhaps a move away from the rational model to a more emergent approach, which would enable the business to adapt as time passes.

42 C

Cate is demonstrating an ability to **influence external parties** – notably, providers of finance. Raising capital is likely to be necessary, but showing how that capital may be applied and the value that will result might be more problematic. Will investing in cloud technology deliver increased shareholder wealth? If so, how much? And when? There will be greater uncertainty over outcomes, and the leaders of the business will need to be persuasive and articulate a compelling value proposition.

43 B

Building new business models might be the best route when an opportunity is related to the company's core business. The benefits are that it typically maximises control and minimises costs in markets that a company must own because of their strategic importance. If companies decide to go for the build route, they can benefit by creating and developing new products and services.

44 A

A firm can use **partnering** with a digital disruptor to learn more about the market and its partner's model. A partnering approach is sensible when it makes sense to learn about emergent opportunities, with an eye toward deeper partnerships or acquisitions in the future. Companies need to develop a more flexible and open mind-set toward partnerships; which are expected to play an important role in the digital transformation of market players.

45 A

Investing in interesting start-ups is often a valid option, allowing an established company to connect with the right skills and capabilities. It will also avoid hindering entrepreneurial forces with a setup focused on internal governance and reporting.

46 B

Investment and incubation/acceleration might seem similar endeavours. The latter however represents a closer relationship to the funding company, deploying corporate internal capabilities, infrastructure and resources to the start-ups. Having said that, incubators and accelerators need to precisely outline both internal benefits and incentives for start-ups and entrepreneurs, and a clear strategy and vision.

47 B, D and E

The five DTI business models are customer-centric, extra-frugal, data-powered, skynet and open and liquid.

Cost leadership is one of Porter's 'generic strategies'.

Market development is one of Ansoff's 'strategies for growth'.

48 A

Data-powered. This model is built around prowess in analytics and software intelligence. Epitomized by Google and Netflix, data-powered companies have an agile culture focused on innovation through empirical experimentation.

49 C

Skynet. Named after the conscious, artificial general intelligence of the Terminator films, this model makes intensive use of machines to increase productivity and flexibility in production. Pioneered by enterprises such as Amazon and Rio Tinto, Skynet organizations are characterized by an engineer-led culture dedicated to automation.

50 By definition:

Operating model	Description
Customer-centric	This model focuses on making customers' lives easier and emphasizes front-office processes. It works best with a culture that puts the client first and a decentralized structure that empowers frontline staff.
Extra-frugal	This model thrives on a culture of 'less is more' and a standardized organizational structure. By optimizing manufacturing, supply and support processes, it can provide a high-quality service at a low cost.
Data-powered	This model is built around prowess in analytics and software intelligence. Data-powered companies have an agile culture focused on innovation through empirical experimentation.
Skynet	This model makes intensive use of machines to increase productivity and flexibility in production. Skynet organizations are characterized by an engineer-led culture dedicated to automation.
Open and liquid	This model looks outward with a view to creating an ecosystem that can enrich the customer proposition. Built around a sharing customer, all processes are characterized by a constant flow of dialog with the outside world.

51 C

Attracting and retaining talent starts by listening to what employees are saying about a firm, both externally and internally. Referred employees perform better, so enterprises should incentivize their employees to use online networks to refer potential employees.

52 B

Khruangbin is creating a workforce with digital skills. Organizations need to actively develop the skills they need in-house by making training a critical component of their talent management strategy. Bring new skills into the organization by hiring digital leaders and digital natives.

53 D

Liquid PLC is trying to foster a digital culture in the enterprise. Factors that set a digital company's culture apart include a strong sense of purpose and a diverse high-quotient digital workforce. Leadership needs to release people's creativity and apply lean start-up methodologies such as hackathons and design thinking.

54 A

Statement (i) is true

Statement (ii) is false – firms need to make greater use of long term goals rather than short term ones.

55

Force	Effect
Bargaining power of suppliers	Remain stable
Bargaining power of customers	Remain stable
Rivalry	Decrease
Threat of new entrants	Decrease

As Charlton already has mutually-beneficial relationships with customers and suppliers, the adoption of an ecosystem approach is unlikely to have any significant effect on those forces. The most likely impact, if successful, would be to gain Charlton advantage over rivals, as none of them currently take this approach, thus decreasing rivalry. Due to the cost and time involved in establishing an ecosystem approach, a barrier to entry would be created, thus decreasing the threat of new entrants.

56 B

A business ecosystem is “an economic community supported by a foundation of interacting organisations and individuals — the organisms of the business world.”

57 B, D and E

Regulatory frameworks are being challenged by ecosystems on several fronts – these include

- Speed of change – effective regulation depends upon the regulators’ understanding of the solutions being offered by businesses, their efficacy, and their possible unintended consequences.
- Ecosystems evolve and new and clever business models proliferate, the sheer diversity of competitors and competitive modes is yet another complicating factor for regulators.
- Innovations cross lines of jurisdiction and in business ecosystems, product definitions, market boundaries, the traditional distinction between digital and physical goods blur.

The high cost of new legislation and the need for data protection are both general challenges that are not specific to regulating ecosystems.

58 A, C and D

Traditional industries such as banking and the news have now been replaced by online versions and apps. Music is also now being downloaded or streamed instantly.

Social media interactions (B) have increased, and the costs have declined for manufacturers as the technologies develop (E).

59 D

Use of mobile technology has reduced duplication and data entry. App software for logging and recording expenses has reduced manual processing, whilst delivering significant efficiencies and better quality management information.

60 D

Digital assets are assets held by a business in digital form that do not have physical substance.

MANAGING PEOPLE PERFORMANCE

61 D

The four soft elements of the McKinsey 7s model are staff, skills, style and shared values. The remaining three elements (structure, systems and strategy) are considered hard elements.

62 The correct matching of the definitions is shown below:

The daily behaviours and actions of people that signal acceptable behaviour	Rituals and routines
Who makes the decisions	Power structures
What the organisation is about	The paradigm
The past events and people talked about inside and outside the company	Stories and myths

63 C

With task culture the importance is about getting the job done right and on time.

64 The most appropriate action for each of the employees is shown below:

Employee 1	Disciplinary layoff or suspension
Employee 2	An informal talk
Employee 3	An oral warning
Employee 4	Dismissal

65 The correct matching is:

There is one best way to undertake every task – **Taylor's scientific management**

Interpersonal relations are a key part of determining workplace behaviour – **Human relations school**

Managers must control the needs of the task, individual and group – **Adair's action-centred leadership**

Managers can be either a psychologically distant or psychologically close – **Fiedler's contingency theory**

66 A, B and E

Drucker suggested eight key objectives which a business would need to cover all areas where performance and results affect the business. These are: profitability, innovation, market standing, productivity, financial and physical resources, managerial performance and development, worker performance and attitude and public responsibility.

67 C

An effective staff appraisal system can bring many benefits, both to the organisation and to the individual. While it can improve communication, identify training needs and provide a fair process for reward decision, it cannot ensure that performance targets are met.

68 D

High uncertainty avoidance means people are uncomfortable with uncertainty and ambiguity. In these cultures, such as Greece, Japan and Russia, risk taking is generally discouraged and organisations tend to rely heavily on rules regulations.

69 The correct matching is:

A large bureaucratic organisation such as a Government department would likely have this type of culture – **Role culture**

With this type of culture, everything is based on a logical order and rationality – **Role culture**

An organisation which is based on the technical expertise of the individual employees would tend to have this type of culture – **Person culture**

This type of culture would tend to be found in small, owner-run organisations – **Power culture**

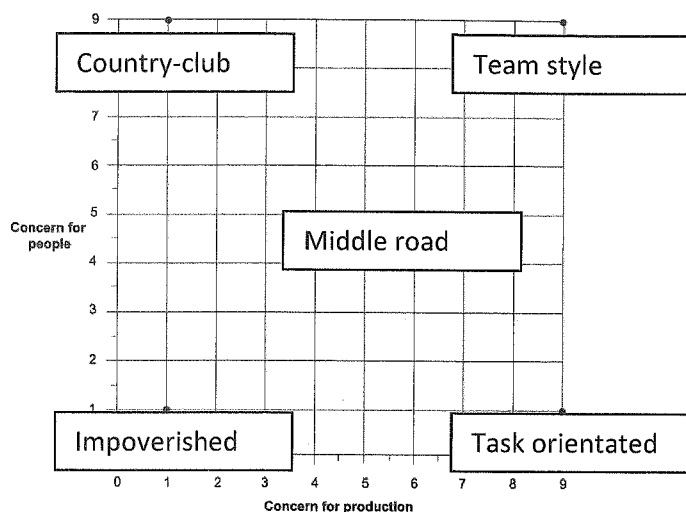
70 B

Intrinsic satisfaction is derived from the job content. Extrinsic satisfaction is derived from factors separate to the job itself and is dependent on the decisions of others. Pay, working conditions and benefits are all examples of extrinsic rewards.

71 D

In fact, the manager is actually using legitimate power, because they are only able to promote someone by virtue of their formal authority to do so. Of the options given, however, reward power is the only one that applies: it resides in the manager's ability to influence the subordinate's behaviour by controlling potential promotions (whether or not the subordinate is actually promoted). Referent power is the power to inspire followership in others; to lead by personal charisma.

72 The complete model is shown below:



73 The correct matching is:

These help to avoid unpleasantness and dissatisfaction – **Hygiene factor**

Good working conditions – **Hygiene factor**

An appropriate level of salary – **Hygiene factor**

Career advancement – **Motivator**

These satisfy the need for personal growth – **Motivator**

74 C

Disciplinary action is usually 'progressive': that is, warnings – and subsequent sanctions – become increasingly severe with each failure to adjust performance.

75 A and B

A grievance procedure occurs when an employee feels that their superior or colleagues are wrongly treating them.

76 The correct matching is:

Task	Individual maintenance	Group maintenance
• Opinion-seeking	• Feedback	• Peace keeping
• Decision making	• Counselling	• Communicating

77 B, E and F

Goals, skills and technology would be a visible elements, but attitudes, style and values would be hidden elements.

78 C

McGregor's Theory X and Theory Y are attitudes based on social science research, and McGregor regarded them as two distinct attitudes. Theory X is based on assumptions such as the dislike of individuals for work, which means that they have to be controlled and threatened by their supervisors and managers. McGregor believed that Theory Y was difficult to apply in some working conditions, such as mass production operations, and that it was much better suited to the management of managers and other professionals.

79 A

Personal centralised control is often found in small, owner-managed organisations. In these organisations, control is carried out by the owner through personal supervision.

Output control is based on the measurement of outputs and is often used in manufacturing organisations.

Clan or cultural control is found in organisations where the employees have a strong identification with management goals and they are given a degree of freedom in how they carry out their tasks.

Bureaucratic control is based on formal rules and procedures and is often found in large hierarchical organisations.

80 C

Managing health and safety is not solely the responsibility of directors. While senior management have a legal requirement to comply with the Health and Safety legislation, all employees also have responsibility towards health and safety.

Managing health and safety in the workplace is a legal requirement in the UK and the requirements are covered by the Health and Safety at work act 1974 (HASAWA).

Cost savings can be made from compliance with health and safety legislation. This comes from lower legal costs for compensation and lower costs due to fewer work days lost by employees.

One of the key areas of the HASAWA is provision of information, training and instruction of staff in areas of health and safety.

81 The correct matching is:

- Its purpose is to remove discrimination – Equal opportunities
- It relies on proactive action – Equal opportunities
- It is a Human Resources role – Equal opportunities
- It is a managerial role – Diversity

82 A and C

Bureaucratic businesses are evidence of high uncertainty avoidance as they give staff defined rules to work with. The fact that junior staff have a say in the running of the business is evidence of low power distance.

83 B

This would be the definition of the role of a mentor.

84 A, D and E

Traditional authority is based on Weber's classical bureaucracy. This is incorrect. Traditional authority is based on custom and practice. Rational-legal authority is based on Weber's classical bureaucracy.

Responsibility is the capacity to exert influence. This is incorrect. This is the definition of power.

85 The complete sentence is:

Under UK law, the director could bring an action for **wrongful** or **unfair** dismissal.

An action for wrongful dismissal is an action for breach of contract of employment: here the contract provides for one year's notice of termination. The director can, alternatively, bring a statutory claim for unfair dismissal under the Employment Rights Act.

86 B

In a task culture, the focus is on getting the job done right and on time. Team work is essential in this culture and in the case of ABC, this is essential if they are to try to compete in their new, more dynamic marketplace. Task culture is the most successful where a company needs to be innovative as innovation often requires cross functional teams.

ABC currently has a role culture where the individual's job description comes first. This is common in large, nationalised industries.

87 D

J's position is clearly unfavourable, with little power and a poor relationship with his staff. Psychologically distant leaders favour formal roles and relationships, judge subordinates on the basis of performance and are primarily task oriented. This would best for J.

In contrast psychologically close leaders do not seek to formalise roles and relationships and are more concerned with maintaining good relationships at work. Their style works best when the situation is moderately favourable.

88 The correct matching of the elements is shown below:

Symbols	There are a finite number of parking spaces allocated to a few key staff members.
Rituals and routines	People often work through lunchtime and it's not unusual for people to work after 6pm.
Control systems	There is a timesheet system accounting for each hour of time worked in a week.
Power structures	All decisions on Audit work programmes come from head office.

89 C

The work of human resources staff is usually hard to quantify, however they have a significant influence on the income a company generates and therefore it is presumed that they should share a part of the profit.

90 A and C

Staff bonuses mean that the manager is offering her staff a reward for adopting the system. She is also relying on referent power by using her charisma/relationship with her employees.

91 C

The Equality Act 2012 covers the following grounds for discrimination:

- Age
- Disability
- Gender reassignment
- Marriage and civil partnership
- Pregnancy and maternity
- Race
- Religion or belief
- Sex
- Sexual orientation

It does not cover discrimination due to physical appearance.

92 C

There is a subtle point here. The delegator must 'back off' in the sense of not constantly checking on or interfering with the subordinate in his or her use of the delegated authority: this would not be genuine delegation at all. However, the point is not to leave the subordinate without guidance or assistance where it may be required: it is important that the delegator be available. The other options are features of effective delegation: note that it is a thoroughly collaborative process.

93 D and E

There are limited grounds for redundancy. Redundancy can occur where a role is no longer required. Roles become redundant and this is not linked to individual conduct or performance. Where there is cessation of a business or part of a business or of certain activities within a business then redundancy can be justified.

94 C

Accountability is about 'answering to' or 'reporting to' more senior. It is an upward requirement. Authority is the 'right' of someone (often by virtue of their position in the hierarchy) to make decisions or give orders. Empowerment is the process whereby greater authority and discretion (and corresponding responsibility) is given to lower levels in the organisation. Super-ordination is a process whereby something is 'higher' than something else in a hierarchy or arrangement: we talk about 'super-ordinate goals', for example, for those at a higher level in the hierarchy of plans.

95 A

There are three levels of control; Strategic, Tactical and Operational.

At the strategic level, the board will set the control environment. Policies for control, such as recruitment, selection, appraisal and discipline will be set.

At the tactical level, the decisions of the board will be implemented. Procedures for controlling recruitment, selection, appraisal and discipline will be established and monitored.

At the operational level, operational controls will be designed to control structured repetitive activities. This could cover activities such as inventory control or ordering systems.

96 C and E

'Values' are the things which can be identified from stories and the opinions of those within the organisation. It includes items such as language used, behaviour and how people justify what they do.

The things that can be seen, heard and observed are 'Artefacts'. Deeply held beliefs are known as 'Basic assumptions' and 'the way we do things around here' is Handy's overall definition of culture.

97 C

Strong cultures can become very set in their ways and as such can affect the organisation's ability to change in light of changes in the environment.

Answers A, B and D are usually seen as advantages of strong cultures.

98 B

Gareth Morgan argued that we need to be able view organisations from a range of different perspectives in order to understand and improve effectiveness and that three key perspectives were organisations as machines, organisations as organisms and organisations as cultures.

99 B, D and E

It is important to remember that responsibility cannot be delegated, but authority must be delegated along with the task in question. Option C is incorrect as the scope of responsibility must correspond to the scope of the authority given. Option F is incorrect as this is the definition of empowerment.

100 A and D

In principle, the more training days an employee receives the more knowledgeable and skilful he or she becomes.

A target for the percentage of total sales revenue earned from new products focuses on innovation. The higher the target percentage, the more innovative the organisation might be with new product development.

101 B

The indicators in the prompt that confirm G as a completer-finisher include the phrases 'keen eye for detail', identifies minor details in documents that others miss', 'always meets his deadlines' and 'reluctant to involve others'. These are consistent with Belbin's descriptions of the contributions that the completer-finisher can make, as well as possible weaknesses.

Like the completer-finisher, the implementer is disciplined and reliable but is typified by being prepared to take concepts and ideas and then put them into practical effect. The monitor-evaluator considers all alternatives and often displays good judgement, but may lack personal drive. The shaper is good under pressure and challenges the team to achieve its goals.

102 The correct matching is shown below:

Horizontal	Occurs between departments at the same level in the organisation
Vertical	Occurs between individuals and groups at different levels
Constructive	Considered positive and beneficial to the organisation
Destructive	Tends to cause alienation between groups and individuals

103 B

Norming establishes the norms under which the group will operate. This includes how the group will take decisions, behaviour patterns, levels of trust and openness and individual roles.

104 B

The hierarchy solution refers to the situation where the activity is carried out in-house and the market solution refers to the situation when the activity is outsourced.

105 A – Plant

B – Monitor-evaluator

C – Team worker

The plant role is played by a creative individual; the monitor-evaluator is good at making accurate judgements, whereas the team worker looks after the atmosphere within the team.

106 A

This characteristic helps to win positions or gain victories at the other's expense rather than meet the needs of both parties. It is more likely to result in a lose-lose strategy.

107 C, E and F

The finance department can help ensure a profitable selling price is used for EFG's products. Finance will also help set the budget for the sales volume in order to produce the sales budget. They will also provide marketing with information to help determine EFG's market share for various products.

108 A and E

Teams tend to be slower at making decisions than individuals, as there are more people involved in the decision-making process. This also means that decisions are often compromises when made in teams. However, the involvement of more people in the decision making process means that teams have better control – there are a number of people to review the decisions being made.

109 The correct matching is:

This technique involves the conflicting party directly engaging with each other and negotiating with one another to try to work out their differences – **Confrontation**.

This technique involves management imposing shared targets on both parties which will require the cooperation of both parties in order to meet the target – **Superordinate goals**.

With this technique, members of one department will be asked to work in the other department for a period of time, to allow them to better understand the issues faced by the other department – **Member rotation**.

A technique which can be used where conflicting parties are uncooperative is to bring in an independent party to meet with the conflicting parties to encourage them to reach agreement – **Third party consultants**.

110 D

Groupthink involves an unwavering belief in the group and its decisions and a sectarian emphasis on agreement.

The Abilene paradox is a famous case which demonstrates that a group can end up with an outcome that none of the individual members wanted.

Risky shift refers to the tendency for groups to make decisions which are riskier than any of the individual members would take on their own.

Conformity refers to the situation where group members are persuaded by the group to agree with decisions which are obviously wrong, and which they know to be wrong.

111 C

The correct order for the negotiation process is: preparation, opening, bargaining and closing.

112 The correct matching is shown below:

- A suppression**
- B resolution**
- C reduction**
- D stimulation and orchestration**

Conflict stimulation and orchestration. This approach actively encourages conflict as a means of generating new ideas and new approaches or of stimulating change.

Conflict suppression. This involves the use or threatened use of authority or force, or the avoidance of recognition that a conflict situation exists, or smoothing over the conflict by de-emphasising the seriousness of the situation.

Conflict reduction. This involves building on areas of agreement and on common objectives, and changing attitudes and perceptions of the parties involved.

Conflict resolution. This seeks to eliminate the root causes of conflict by establishing a consensus.

113 The correct matching is shown below:

- A Reciprocity**
- B Scarcity**
- C Social proof**
- D Liking**

Reciprocity – Remind the person of things you have done for them in the past.

Social proof – Use the opinions of those already supporting you to influence other to join that support.

Scarcity – Advise people that they could lose out if they don't act quickly.

Liking – Building relationships with the people you want to influence so that they trust you.

114 The correct matching is shown below:

The assets may be immobile or attached to a particular location	Site
The unique ability to provide a service at a certain time	Temporal
An asset with unique properties	Physical asset
An asset made to an exact specification and has only one application	Dedicated asset

115 B

In Belbin's model, it is not necessary for different individuals to carry each role; one person can undertake more than one role. It is just necessary that all the roles are covered.

116 D

In the forming stage, the team comes together. In the next stage (storming), the group reassesses its targets and roles via more or less open conflict. Norming is a period of settling down, where the group establishes norms and ways of working. In the performing stage, the team transfers its energies to task performance. If the team remains for a long time at the performing stage, there is a danger that it can become less effective as it starts to operate on 'automatic pilot'. If this happens it is best to adjourn the group.

117 The completed sentences are:

When the finance function is carried out by an external party, this is known as **Business Process Outsourcing**.

With **Business Process Outsourcing** the confidentiality risk is **increased**.

Reduced premises costs and **increased** quality of service provision are benefits of **Shared services centres**.

With **Business partnering** the knowledge of the business area is **increased** but there can be duplication of effort across the organisation.

118 C

A win:win approach which seeks to benefit all parties is known as collaborating. This approach is used when there is high assertiveness and high cooperativeness. The goal with compromising is to find a middle ground, however this can be seen as a 'lose-lose' since neither party gets what it really wants. Competing is a 'win-lose' approach and accommodating is a 'lose-win' approach.

119 B

The way words are said can be more important than the actual words themselves.

120 D

This is the definition of negotiation.

121 The correct matching is shown below:

Plant	Imaginative and very good at coming up with original ideas and suggestions.
Completer Finisher	Gives attention to detail and is concerned with meeting deadlines.
Team Worker	Supports other members of the team and helps to promote harmony.

122 A and D

Mainwaring suggested four conflict managing strategies: suppression, resolution, reduction and stimulation and orchestration.

123 D

Norming means agreeing who should be doing what and establishing modes of behaviour, with team relationships becoming settled. The project manager will begin to pass control and authority for decision-making to the team members.

124 C

There are 6 types of asset specificity; site, physical, human asset, brand name, dedicated and temporal.

125 A

The shaper is described as someone who is committed to the task, may be aggressive and challenging, will always promote activity. The plant is the thoughtful and thought-provoking individual, the team worker is concerned with the relationships within the group, and the completer finisher is the progress chaser who ensures deadlines are met.

126 The correct order is shown below:

1	Preparation
2	Opening
3	Bargaining
4	Closing

127 A and D

Vaill suggested the following five characteristics were shared by high performance teams.

- Clarification of broad purposes and short term objectives.
- Commitment to purposes.
- Teamwork focused on the task at hand.
- Strong and clear leadership.
- Generation of inventions and new methods.

128 C

Advisors can be contacted in many situations and may be equally useful when the organisation is doing well as when it is doing badly.

129 The correct matching is shown below:

Conformity	Individuals within the group can be persuaded to accept decisions which they know to be wrong
Abilene paradox	The group can end up with an outcome which none of the members wanted
Risky shift	Groups can end up taking decisions which are riskier than the individual members would take
Groupthink	Group members reach consensus without critically testing, analysing and evaluating ideas

130 C

Synergy is often described as $2+2=5$.

131 The complete sentences are:

Where boundaries between departments are not clearly defined, this can cause problems of **interdependencies**.

Communication problems can lead to **misunderstandings**.

History suggests that conflict tends to be self-perpetuating.

132 The correct matching is shown below:

What is being transmitted	Message
The medium through which the message is being sent	Channel
The message is translated and its meaning is generated	Decoding
The receiver responds to the message	Feedback
Anything which stops the message being transmitted as intended	Noise

133 A, B and C – Horizontal

D – Vertical

Horizontal conflict occurs between groups or departments at the same level in the organisation while vertical conflict occurs at different levels of the organisation.

134 A Reciprocity

B Liking

C Social proof

Reciprocity means identifying what you want to achieve and what you need from the other person then considering what you may be able to offer them in return.

Liking means building relationships with those you want to influence so that they trust you.

Social proof means using the opinions of those already supporting you to influence others to join that support.

135 C

Non-verbal actions can vary between countries and cultures.

136 A Business process outsourcing (BPO)**B Business partnering****C Shared services centre (SSC)**

Business process outsourcing (BPO) – The finance function is carried out by an external party.

Business partnering – A dedicated finance function is set up within each business unit.

Shared services centre (SSC) – The finance function is consolidated and run as a central unit within the organisation.

137 The correct matching is shown below:

Attendees talk too much	Chairperson should impose order
Objectives of the meeting are unclear	Agenda should be circulated before the meeting
Action points from previous meetings not carried out	Ensure action points agreed and minutes of meeting are issued
Lack of enthusiasm at the meeting	Ensure the correct attendees are invited

138 C

Persuasion is a stronger form of influence.

Persuasion is always direct.

Persuasion falls short of telling the other person what to do, the aim is to get their agreement.

139 D

BPOs will generally carry out finance function for many organisations therefore they tend to develop best practice.

Using BPO can cause the organisation to lose control as it will be harder for them to dictate the information they need and when they need it.

BPO generally results in cost reduction through economies of scale.

D is correct. With BPO, the third party will require access to a considerable amount of confidential information.

140 C

Conflict reduction involves building on areas of agreement and on common objectives, and changing attitudes and perceptions of the parties involved. Techniques that can be used include compromises and concessions. These can be facilitated by independent third party interventions, such as conciliation and arbitration.

MANAGING PROJECTS

141 A

An internal trigger for change is an event or development within the organisation itself, rather than a change that is started by external developments. Changes in fashion trends, environmental legislation and demands for a shorter working week are all examples of external triggers for change, caused by technological, political or social change.

142 The correct matching is shown below:

Work packages and Statements of work	To specify the work to be done for each activity and who will carry it out
Cost breakdown structure	To cost each element of the project
Work breakdown structure	To divide the work to be carried out into manageable pieces
Product breakdown structure	To identify the product purchases required for each activity

143 C

Don't confuse 'configuration management' (tracking changes to project products, and hence product versions) and 'conformance management' (using inspection, quality control and quality assurance to ensure that the product/service meet the customer's specifications and requirements). While configuration management is also part of 'change management', this term implies a wider process of dealing with the need to amend projects in line with changes in user requirements, or difficulties of realising them in practice.

144 A

The first stage of the project life cycle (identification of a need) involves identifying a need, opportunity or problem. During this stage a feasibility study will be carried out. At the end of this phase the company will decide whether to proceed with the project, and if it does a PID (project initiation document) will be produced.

145 A and D

Driving forces are the forces for change, and restraining forces are the factors resistant to change. To achieve desired change, management should recognise what the key driving and restraining forces are. In principle, change can be achieved either by making the driving forces stronger or the restraining forces weaker. Lewin argued that in practice, it is more effective to reduce the strength of the main restraining forces.

146 The correct matching is shown below:

Resource histogram	Helps with capacity planning
Critical path analysis	Identifies the activities that cannot overrun without delaying the overall project completion
PERT	Allows a calculation of contingency to be added to the project plan
Breakdown structures	Establishes the authority and responsibility for each part of the project

147 A

In the unfreezing stage, managers need to make the need for change so obvious that most people can easily understand and accept it. Unfreezing also involves creating the initial motivation to change by convincing staff of the undesirability of the present situation.

148 A

Kanter suggested that change-adept organisations share the following attributes:

- effective leaders who encourage the development of new concepts – imagination to innovate
- leaders who provide competence both personally and in the organisation as a whole – professionalism to perform
- leaders who make connections with and collaborate with ‘partners’ outside the organisation – openness to collaborate.

149 C

In the PRINCE2 project organisational structure, the project assurance team fulfils this role. The project committee is also representative of user, executive and supplier interests, but its task is to provide senior input to project management. Project support is an optional set of administrative roles.

150 The correct matching is shown below:

- 1 Initiating
- 2 Planning
- 3 Controlling
- 4 Executing
- 5 Closing

151 B

The project steering committee is ultimately responsible for closing down a project. This may happen at the recommendation of the project manager.

152 C

The question defines a 'Work Breakdown Structure' (WBS). CBS is a Cost Breakdown Structure (a similar approach, but applied to costs rather than tasks). CPA is Critical Path Analysis. PID is a project initiation document which is the output of the initiating phase of the project.

153 D

As this involves radical change implemented in a short period of time this would be a revolutionary change.

154 D

The scope of the project explains the boundaries of the project and exactly what is going to be delivered.

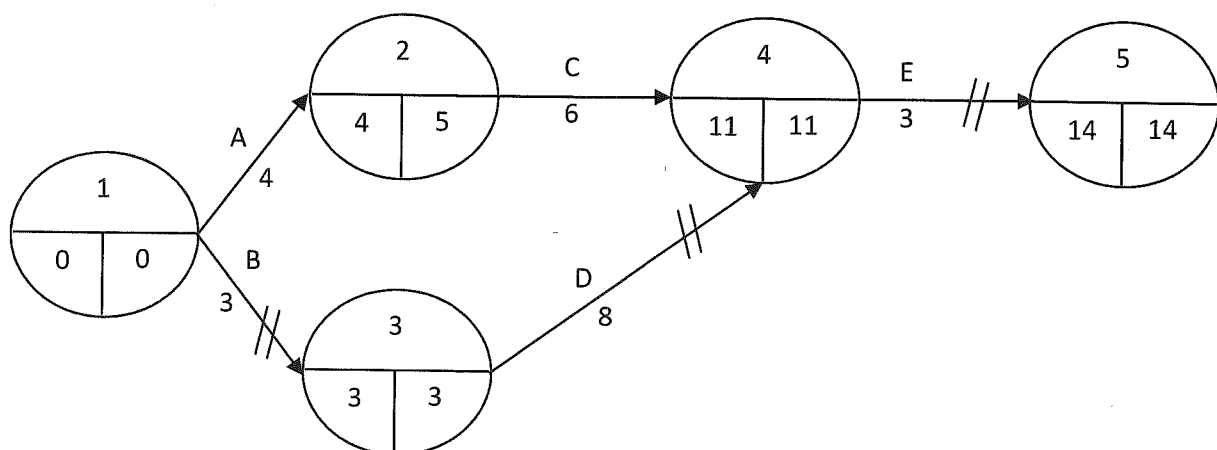
155 C

A project manager requires many skills, including negotiation, leadership, change management and problem solving amongst others but the project manager does not usually require specialist financial skills. Accountants involved in the project can provide these skills.

156 D

The team have been together for time and work successfully together. They respect C as the team leader. This suggests that the team are working at the performing stage of team development.

The completed CPA for the project is:



157 The overall project duration is **14 months**

158 B – the critical activities are B, D and E

159 D

Beer and Nohria argued in favour of a 'balanced approach', combining concern for economic value (such as reducing the size of the workforce, restructuring or incentive schemes) and concern for human capabilities and the learning process. Using one approach followed by the other will be much less effective in introducing change successfully.

160 D

The project sponsor makes the yes/no decisions about the project, is responsible for approving the project plan and provides the funding for the project. The project manager reports project progress to the project sponsor.

161 B

The other changes are all major 'transformational' changes that affect the organisation's culture and way of operating.

162 B

A resource histogram is a component bar chart showing the number and mix of resources required each day (or other time unit) for the duration of a project.

A Gantt chart is a horizontal bar chart, where the length of the bar represents duration of an activity (whether planned or actual duration, or both, for comparison).

A network diagram is used to present the activities required for the project using arrows and nodes. It shows which activities must be done before others and highlights where activities can be delayed or done at the same time as other activities.

A work breakdown structure breaks down a project into manageable pieces and is an important starting point for planning a project.

163 B

A milestone is used to assess the status of the project. Milestones are key points in the project life cycle which give the project sponsor or steering committee an opportunity to review project progress.

A gate, which may also be a milestone, is a specific review point in the project which cannot be passed unless the performance of the project to that point has met predetermined performance standards.

A critical path is the chain of events that determines the overall duration of the project. Any delays to any activity on the critical path will delay the whole project.

PERT stands for project evaluation and review technique and this is a technique used alongside critical path analysis to attempt to overcome uncertainties within the project time plan.

164 D

Technical feasibility investigates whether project requirements can be met using available material, technology and processes: i.e. is it possible? Economic feasibility investigates whether there will be a benefit that outweighs the cost: i.e. is it worthwhile? Social feasibility investigates whether the project fits with the culture and social organisation of the firm: i.e. *can* our people do this? Ecological feasibility investigates whether the project is environmentally sound and sustainable: i.e. *should* we do this?

165 A, B and D

The Project Management Body of Knowledge (PMBOK) describes nine key areas:

- Integration
- Scope
- Time
- Cost
- Quality
- Human Resources
- Communications
- Risk
- Procurement

166 A

Matrix structures have a number of advantages when used in companies which run a number of projects. It can improve lateral communication and cooperation between specialists as decision making needs to cut across divisional boundaries.

B is incorrect as matrix structures can make reporting to managers more difficult due to the fact that employees can become confused by reporting to two managers.

C is incorrect as matrix structures can lead to increased time spent in meetings as managers need to discuss the prioritising of tasks.

D is incorrect as the matrix structure is most useful where a company runs a number of projects but where the projects have different start and end dates as the matrix structure can make it easier to reassign resources between projects.

167 C

There are 6 process areas in PRINCE2:

- Starting up a project
- Initiation
- Managing stage boundaries
- Controlling a stage
- Managing product delivery
- Project closure

168 A

A project sponsor usually makes key 'yes/no' decisions and provides the resources for a project.

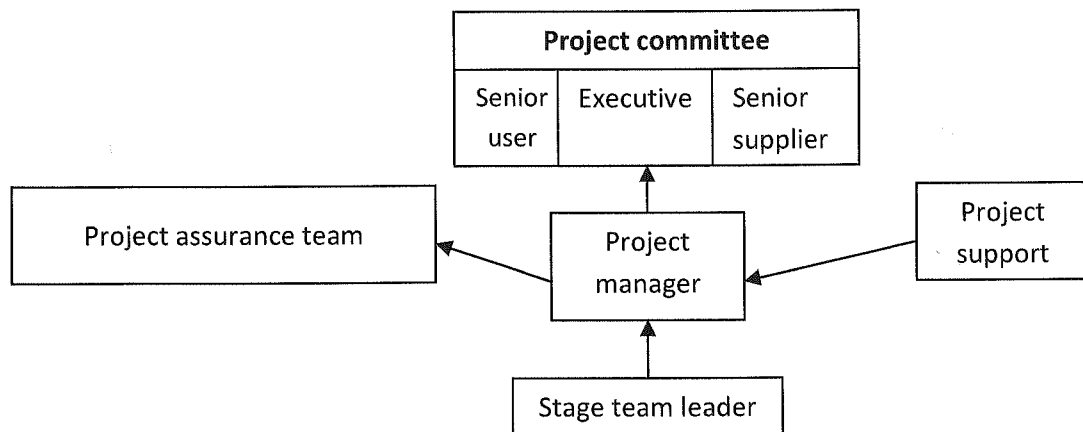
The project manager is responsible for the successful delivery of the project objectives.

The project owner is the person for whom the project is being carried out.

The project customer (or user) is the person, or group of people, whose needs the project is attempting to satisfy.

169 A Senior user**B Project manager****C Stage team leader****D Project assurance team**

The completed diagram is shown below:



This is a useful diagram: note which way the reporting/authority arrows point. The project manager is the interface between the project committee (or board) and the stage team leaders. The project assurance team provides an independent 'lateral' view of how the project is progressing, reflecting the interests of the committee members. The project support roles provide administrative and communication activities.

170 C

A, B and D would all normally be included in the final report. The extent to which the benefits defined in the original business case have been achieved (C) would not normally be included in the final report as this would not be able to be ascertained until a few months after the completion of the project.

171 A

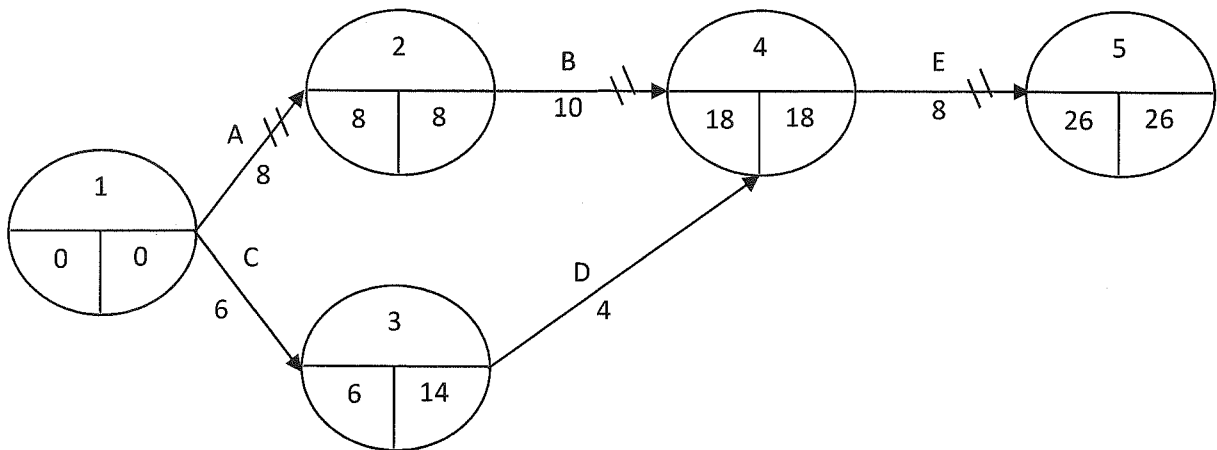
Unfreezing is the process of both getting employees to recognise that the current situation is unsatisfactory, and also identifying a better way of doing things. Getting qualified staff to accept that some of their work can be done by trained but unqualified people would be a part of the unfreezing process.

172 D

Perhaps this is the obvious solution. Answer B implies no change at all. Attempts to impose change are likely to end in failure, and answers A and C are both incorrect. A change culture within an organisation has to start with top management, who must give their full support and encouragement to change programmes.

173 The float time on activity C is 8 days.

The completed CPA is shown below:



The float time is calculated as: Latest event time minus Earliest event time. For C this would be: $14 - 6 = 8$ days.

The critical path activities (A, B, E) have a zero float.

174 B

The scope of the project explains what should be included in the project deliverables. This has to be agreed at the outset of the project before detailed planning takes place.

175 B

Change in most organisations is triggered by changes in their external environment rather than internal developments. The external changes might affect the organisation's culture and will eventually prompt management action (answers A and D). The trigger for change, however, comes from the external environment.

176 The completed sentences are:

A change that aims to allow the business to maintain its current market share by adopting minor initiatives over the next few years would be known as **adaptation**.

A change that is implemented gradually through inter-related initiatives is known as **evolution**.

177 D

Progress reporting is a control activity which should be carried out regularly by the project manager. The other items (A, B and C) would all specifically be included in configuration management.

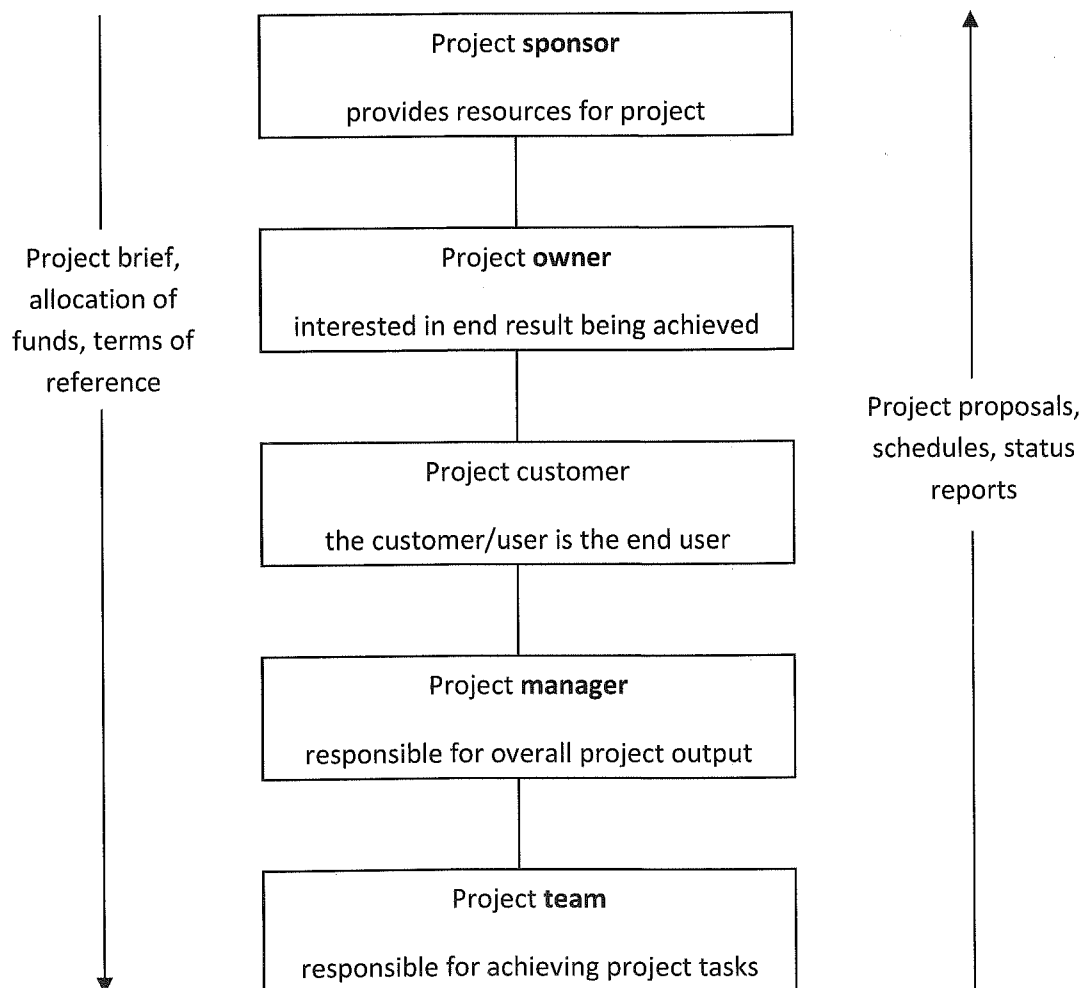
178 B

Satisficing is a method suggested by Cyert and March for dealing with conflicting stakeholder objectives. The aim with satisficing is to keep as many stakeholders as possible happy.

179 C

Team management is graded (9, 9). The other options are Country Club (1, 9), Task orientated (9, 1) and Impoverished (1, 1). Note that, in Blake and Mouton's model, concerns for task and people were not mutually exclusive: the 'best' style, according to them, is to have a high focus on both elements.

180 The completed diagram is shown below:



181 D

The carrying out of risk analysis is carried out as part of the initiating stage of the project lifecycle.

The other activities (A, B and C) would all be carried out during the executing stage.

182 The correct matching is:

A change that is to be implemented over a long period of time but will radically alter the business operations – **Evolution**

A change to realign the way in which the organisation operates, implemented in a series of small steps – **Adaptation**

A change to realign the way in which the organisation operates, with many initiatives being implemented simultaneously – **Reconstruction**

Transformational change that occurs via simultaneous initiatives on many fronts – **Revolution**

183 C

Tuckman suggested that all teams go through the following stages of development:

- Forming
- Storming
- Norming
- Performing
- Adjourning

At the norming stage, standards of working are established and ways of working are agreed.

184 D

A Gantt chart is a horizontal bar chart with the length of each bar representing the length of the activity.

185 C

Conformance management is concerned with compliance with technical specifications and would focus on items such as inspection, quality control and quality assurance.

Focus on items such as prioritising change requests, recording of changes and agreement of a change budget would suggest a change process.

Focus on items such as functional quality and client satisfaction measures would suggest a performance management system.

Focus on items such as access control over project records and version control for documentation would suggest configuration management.

186 A, B and C

The main control elements used within projects are project meetings and project reports. The feasibility study is produced at the initiation stage of the project to help management decide on whether the project is worth undertaking. Scenario planning is used at the planning stage of the project to consider the risk and uncertainty within the project.

187 C

The external review is an important review carried out at the end of the project. It is a review held with the customer to establish if the project had satisfied customer requirements.

Progress reports are an important technique used during the controlling of the project.

Gantt charts are used in planning the time requirements of the project during the planning stage.

PERT is used to take account of uncertainty and risk during the planning stage.

188 B

Progress review meetings should be regular, formal meetings involving the project manager, team members and the customer or steering committee. The purpose of these meetings is to provide an update on the project status and to identify any issues and action plans from that point.

Team meetings should also be held regularly between the project manager and the project team members. The object of these meetings is to keep all team members up to date with project progress.

Problem solving meetings are held on an ad hoc basis to deal with specific problems which have arisen in the project.

Business review meetings are held at the end of the project as part of the overall review of the project.

189 D

The identification of need phase incorporates initiation. Note that scheduling is part of the planning phase, milestone reviews are part of implementation and control, and completion happens at the end of the lifecycle.

190 C

The critical path can be identified from the nodes. Where the earliest event time (EET) and the latest event time (LET) are the same, this indicates that there is no 'slack' in these activities and therefore the activities are on the critical path.

191 B, C and E

The slack on activities C and F is 13 weeks.

Activities A, B and C can start straight away. Activity D cannot start until after activity A is complete.

192 C

Risks with high likelihood and low impact are best managed by reduction. Reduction of risk can be achieved by implementing controls, or by taking alternative courses of action.

Risks with high likelihood and high impact should be avoided.

Risks with low likelihood and high impact should be transferred.

Risks with low likelihood and low impact should be accepted.

193 B

Buffering involves adding artificial slack into risky activities. It adds padding to the original estimates and allows for the fact that it is difficult to ensure that all stages and activities are carried out exactly as planned.

Scenario planning is another technique which can be used to take account of risk and uncertainty in projects. This involves the considering of one or more sets of circumstances that might occur within the project other than the most likely or expected set of circumstances.

Float refers to the extra time available for project activities which are not in the critical path.

PERT (project evaluation and review technique) uses a formula to calculate an expected time for each activity, taking into account a probable time, an optimistic time and a pessimistic time.

194 D

Contingency theory suggests that the effectiveness of various managerial practices, styles and techniques will vary according to the particular circumstances of the situation. The contingency theorists embrace any and all appropriate principles that enable managers to manage more effectively. Regardless of the organisational structure or the obstacles and opportunities they encounter, managers have some leeway in the choices they make and in the actions they initiate and they should be able to adapt their actions to suit the situation.

195 A

In the theory X model, people are seen as lazy and will work only if there is a direct link between efforts and rewards. A Theory Y manager would consider that all of the other factors would motivate.

196 A, C and E

Project management software is very useful and can make the management of projects easier. B is incorrect as the software can help in managing the time in the project but cannot ensure that the project meets its deadline.

D is also incorrect as project management software is generally inexpensive and may be no more complex than standard office software.

197 B

Fear of more monotonous work, concern over feeling less valued and feeling that the change suggests criticism of current performance would all come under personal factors.

198 A, B and E

C is incorrect. The matrix structure is commonly used in many industries, especially engineering, construction and consulting.

D is incorrect. The matrix structure is most useful where organisations regularly carry out multiple projects.

199 A and D

The strategies for managing resistance to change as defined by Kotter and Schlesinger are:

- Participation
- Education and communication
- Power/coercion
- Facilitation and support
- Manipulation and co-optation
- Negotiation

200 A, C and D

Herzberg's model states that a number of factors should be put in place in order to avoid dissatisfaction. These are known as hygiene factors. Once hygiene factors are in place, motivational factors can be put in place. B and E are motivational factors. These factors will increase motivation as long as the hygiene factors are already in place.

This is an important consideration for a project manager who must try to motivate the project team.

